

Local Politics, Global Capital: The Effects of Domestic Political Ties on Foreign Direct Investment Attraction*

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Abstract

What attracts foreign direct investment (FDI) to specific municipalities? We argue that domestic political ties play a role: relative to their non-aligned peers, mayors aligned with the national governing coalition are better positioned to raise their municipalities' visibility among foreign investors and to provide credible assurances of political support throughout the investment process. We test this claim using multilevel regression models and a regression discontinuity design applied to a novel municipal-level dataset on FDI transactions in Brazil (2012–2021). Both approaches show that political alignment consistently increases FDI transactions. A case study and a mediation analysis further suggest that the effect does not operate through tangible benefits such as intergovernmental transfers, investment incentives, or regulatory advantages alone. Rather, alignment puts municipalities on investors' radar and reduces uncertainty about political support for the investment — advantages that prove decisive when competing municipalities are otherwise

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similar. Our findings highlight the importance of political ties as relational assets that shape the uneven distribution of foreign capital at the municipal level.

1 Introduction

Foreign direct investment (FDI) is often analyzed globally, yet its impacts also manifest locally. Foreign capital creates jobs, enhances public infrastructure, reduces inequality, and increases the incumbent party’s local reelection prospects.¹ Unsurprisingly, state and local governments spare no effort trying to attract FDI. They promote overseas investment missions,² set up international investment offices and promotion agencies,³ distribute generous investment incentives,⁴ attend “networking events” — including soccer games and Taylor Swift concerts — to rub shoulders with potential investors,⁵ and claim credit for boosting the economy.⁶ Beyond these efforts, what aspects of subnational politics draw investment projects to specific locations?

We argue that domestic political ties help attract FDI inflows at the local level. Location decisions often unfold sequentially: having decided to invest in a host country, foreign firms search for information about specific locations. Mayors connected to the national governing coalition benefit from prominent advocates who raise their municipalities’ visibility among foreign investors and serve as marketing agents, promoting local assets. Meanwhile, investors pay attention to local characteristics critical to business operations, such as infrastructure quality and labor availability, but can also be persuaded by softer factors, including perceptions of credible political support for their projects.⁷ Since foreign firms value political connections,⁸ mayors aligned with the national governing coalition can provide more credible assurances of political support, reducing investors’ uncertainty about the investment process.

As the largest FDI recipient among non-high-income economies⁹ and a federal democracy with strong intergovernmental linkages, Brazil is a strategic case to test our argument. These linkages underpin both electoral coordination across government levels¹⁰ and the country’s model of coalitional presidentialism.¹¹ Mayors rely on members of the National Congress to secure resources that bolster their electoral prospects, while legislators depend on local partners to mobilize vot-

¹Bunte et al. (2018); Jensen and Rosas (2007); Owen (2019).

²McMillan (2009).

³Bauerle Danzman and Slaski (2022).

⁴Baccini et al. (2018).

⁵Hamilton (2024).

⁶Jensen and Malesky (2018).

⁷Zhu, Larrey and Santos (2015, p.15).

⁸De Figueiredo and Richter (2014).

⁹UNCTAD (2022).

¹⁰Novaes (2018).

¹¹Zucco and Power (2024).

ers and sustain territorial support. Because the benefits of FDI (such as jobs) are politically valuable, politicians at both levels have incentives to channel foreign capital to strategic municipalities: mayors enhance their standing with voters¹² while strengthening their allies at the national level. Brazil’s proportional representation system amplifies this dynamic by encouraging federal legislators to cultivate support across municipalities within their state. Consequently, aligned mayors should be better positioned to attract FDI, benefiting from congressional allies who promote their municipalities to foreign investors, actively brokering meetings, showcasing local assets, and providing credible assurances that their political backing will facilitate the investment process.

We test our argument using a multi-method research design. First, we employ a novel, publicly available dataset of all FDI transactions received by Brazilian municipalities between 2012 and 2021. Given the hierarchical structure of our data, with 5,570 municipalities nested within 26 states, we estimate multilevel regression models, controlling for a range of political, social, and economic covariates. We also implement a regression discontinuity design (RDD) that exploits quasi-random variation from close elections between aligned and non-aligned mayors. Both approaches show that political ties between the municipal government and the national governing coalition significantly increase the number of FDI transactions, an effect that is robust to different specifications.

We also investigate the mechanisms connecting political ties to FDI. A case study of the Dutch beverage manufacturer Heineken in Brazil supports the proposed mechanism: as interviews¹³ and local news reports confirm, strong political ties between the mayor and the federal governing coalition put a small town on the investor’s radar and made the mayor’s assurances of political support credible, allowing it to outperform larger municipalities in securing a high-profile investment around 2020. Mediation analyses indicate that material factors alone (intergovernmental transfers, investment incentives, and reduced regulatory barriers) cannot explain the effects of alignment on FDI attraction, further suggesting that political ties operate as broader relational assets that investors value.

This study makes four key contributions. First, while most of the literature on political alignment emphasizes its effects on subnational public goods provision,¹⁴ we extend its reach to international private capital flows. Second, we contribute to the broader literature on the subnational determinants of FDI,¹⁵ which has largely

¹²Owen (2019).

¹³This project was approved by the Institutional Review Boards of INSTITUTION (Protocol P.652.2024) and INSTITUTION (Protocol 6442).

¹⁴Alberti, Díaz-Rioseco and Visconti (2022); Migueis (2013); Callen, Gulzar and Rezaee (2020); Brollo and Nannicini (2012).

¹⁵Garriga (2022); Garriga and Phillips (2022); Halvorsen and Jakobsen (2013).

overlooked domestic political ties: evidence linking alignment to foreign capital attraction is confined to a single sector and investor origin at the state or province level.¹⁶ We show that intergovernmental political ties shape foreign investment distribution more broadly. Third, the use of fine-grained, municipality-level data and our multi-method design isolate the effect of political alignment from confounding factors that have limited causal inference in prior work. Fourth, we clarify the mechanism linking alignment to FDI: alignment raises a municipality's visibility to foreign investors, increasing the likelihood that it enters investors' consideration set, and provides credible assurances of political support, reducing investors' uncertainty. These soft, relational advantages shape location decisions net of municipalities' economic endowments and are not reducible to the material benefits alignment can also deliver. Together, these contributions advance our understanding of how domestic political factors mediate the local effects of economic globalization, a dynamic likely to extend beyond Brazil under conditions we discuss below.

2 How Local Factors Attract FDI

Much of the literature on FDI attraction focuses on national-level determinants,¹⁷ including bilateral investment treaties¹⁸ and their investor-state dispute settlement clauses,¹⁹ property rights,²⁰ screening requirements in strategic sectors,²¹ local content requirements,²² tax and regulatory policies,²³ electoral cycles,²⁴ partisanship,²⁵ party structure,²⁶ and humans rights protection.²⁷ The influence of sub-national factors in attracting foreign capital has received far less attention, aside from a few notable contributions.

Low education levels, low trust in state authorities, high crime, and organized criminal competition deter investment at the subnational level, as shown by studies of Mexican states.²⁸ Agglomeration, or geographic clustering, also plays an

¹⁶Giraudy, Urdinez and Freites (2024).

¹⁷Pandya (2016).

¹⁸Elkins, Guzman and Simmons (2006).

¹⁹Moehlecke and Wellhausen (2022).

²⁰Jensen (2003); Li and Resnick (2003).

²¹Bauerle Danzman and Meunier (2023).

²²Pandya (2014).

²³Li (2006); Jensen (2012).

²⁴Canes-Wrone and Park (2014); Chen, Nie and Ge (2019).

²⁵Pinto (2013).

²⁶Simmons et al. (2018).

²⁷Blanton and Blanton (2007).

²⁸Escobar Gamboa (2012); Samford and Gómez (2014); Garriga and Phillips (2022).

important role.²⁹ Business activities — especially those of high added value — tend to cluster in large cities, which offer competitive consumer markets, knowledge-based services (like finance and IT), transportation networks (airports, ports, and roads), and telecommunications infrastructure.³⁰ While large cities often display “diseconomies of scale” (high rental costs, congestion, and salaries), this can push firms to adjacent locations and fuel the development of metropolitan areas, an important determinant of firm location itself.³¹

An emerging literature examines how the ideology of subnational governments affects their ability to attract investment. Multinational corporations (MNCs) prefer Mexican states ruled by left-wing governors, who are more likely to invest in human capital.³² In contrast, right-wing mayors in Brazil are linked to higher business creation.³³ In the US, Republican-governed states attract more investment from China and in the manufacturing sector than Democratic-led states.³⁴ Some authors posit that divided state governments attract more FDI in the US; since Republicans support low taxes and Democrats favor public goods provision, a mix of both is optimal for MNCs.³⁵

There is also growing interest in whether investment incentives affect firms’ subnational location decisions. The general answer is no: incentives sweeten the deal for firms that would have chosen a given location anyway.³⁶ Yet much of the evidence comes from OECD countries.³⁷ In developing countries, at least some incentives seem to matter: lower corporate income taxes and longer tax holidays attract more investment to Latin America,³⁸ and tax cuts on direct investment profit increase FDI in some Russian jurisdictions.³⁹ Firms that receive incentives are often already embedded in local markets, in sectors conforming to governments’ broader economic policy goals, at least in Latin America.⁴⁰ These patterns suggest that subnational politics matter for investment attraction.

Thus, subnational politics and institutions shape FDI in important ways. Yet, much of the literature treats subnational governments as largely autonomous actors, failing to account for the fact that local politics is embedded in national poli-

²⁹Duranton and Puga (2001); Knoblen (2009); Rodríguez-Pose and Crescenzi (2008).

³⁰Duranton and Puga (2001).

³¹Crescenzi et al. (2019).

³²Garriga (2022).

³³Arvate and Story (2021).

³⁴Lu and Biglaiser (2020); Wang and Heyes (2021).

³⁵Halvorsen and Jakobsen (2013).

³⁶Oman (2000); Jensen and Malesky (2018).

³⁷Jensen (2012); Bartik (2018).

³⁸Klemm and Parys (2012).

³⁹Baccini, Li and Mirkina (2014).

⁴⁰Bauerle Danzman and Slaski (2022).

tics. In what follows, we examine an underexplored dimension of this relationship: domestic political ties — namely, the extent to which local politicians are aligned with or opposed to the national governing coalition — and how these ties affect the municipal allocation of FDI.⁴¹

3 Argument

Subnational entities compete for FDI.⁴² Some disputes occur at the global level, where states, provinces, counties, or municipalities vie with counterparts in other countries.⁴³ In these disputes, variation in regulatory environments, macroeconomic conditions, and political systems makes it hard to disentangle the role of municipal characteristics. In other circumstances, the competition is domestic: investors may decide sequentially, first choosing a host country and then selecting a specific municipality within it.⁴⁴ In this latter scenario, municipalities competing within the same national context offer a cleaner counterfactual:

Central Hypothesis: *All else equal and within the same country, municipalities governed by mayors with political ties to the national governing coalition will attract more FDI than those without such ties.*

Our argument rests on two premises. First, investors value the benefits that well-connected municipalities can offer. Second, elected officials with ties across municipal and national government levels promote these ties as an asset to foreign investors, aiming to attract FDI to strategic locations.

The benefits of political ties to investors may take tangible forms. Foreign investors may view politically connected municipalities as having better access to national resources. In Brazil, Chile, Croatia, India, Italy, Portugal, Spain, and the US, local governments aligned with the national level request and receive more financial resources than non-aligned ones.⁴⁵ These intergovernmental transfers serve to both reward allies and punish opponents.⁴⁶ For investors, these addi-

⁴¹See Giraudy, Urdinez and Freitas (2024) for a notable exception, but confined to the analysis of state/province level alignment in a single sector and investor origin.

⁴²Jensen and Malesky (2018).

⁴³Markusen and Nesse (2007, 7).

⁴⁴Mataloni Jr (2011); Bauerle Danzman and Slaski (2021).

⁴⁵Brollo and Nannicini (2012); Goldstein and You (2017); Meireles (2018); Alberti, Díaz-Rioseco and Visconti (2022); Glaurdić and Vuković (2017); Arulampalam et al. (2009); Bracco, Porcelli and Redoano (2013); Migueis (2013); Solé-Ollé and Sorribas-Navarro (2008); Berry, Burden and Howell (2010).

⁴⁶Martin (2003); Brollo and Nannicini (2012); Bueno (2018).

tional resources might increase the appeal of a politically connected municipality by supporting infrastructure upgrades and enhancing public services. Political ties may also expedite bureaucratic processes, reduce regulatory hurdles, and improve fiscal management, all of which enhance FDI prospects.⁴⁷ Additionally, MNCs may believe that access to investment incentives hinges on strong ties between local and national authorities, especially in federal systems with complex fiscal transfers. In these ways, political ties can deliver material advantages that improve the local investment climate.

Yet, such material advantages typically unfold over the medium to long term and cannot explain why investors would perceive aligned municipalities as more attractive in the short run. We argue that political alignment produces two inter-related advantages in competition for FDI.

The first is *visibility*: because coalition membership grants mayors access to national promotion networks, aligned municipalities are more likely to appear in government-prepared investment materials, on the itineraries of visiting foreign investors and diplomats, and in trade delegations led by national politicians.⁴⁸⁴⁹ Through active brokerage, mayors and their national allies mobilize relationships and showcase municipal assets, putting municipalities on the radar of investors who might otherwise overlook them.

The second advantage produced by alignment is *credible assurances of political support for the investment*. Once investors consider a municipality, they assess whether local politicians have both the capacity and the willingness to facilitate investment, relying on their relationships with officials during site selection.⁵⁰ At the entry stage, investors face uncertainty: they cannot fully assess whether local politicians will actively facilitate their project, whether permits will be approved without obstruction, or whether their investment will receive sustained political support if disputes arise with other levels of government. We contend that aligned mayors can reduce this uncertainty more credibly than non-aligned ones, because coalition membership gives them leverage over the national politicians who control these and other outcomes. Location advisory consultants and investment promotion officials encourage cities to “promote effective partnerships and coordination” with higher levels of government to strengthen their appeal to multinationals.⁵¹ Foreign investors use investment to build political goodwill in

⁴⁷Tomasi, Pieri and Cecco (2023).

⁴⁸Durante (2020); InfoGEI (2024); Bauerle Danzman and Slaski (2022).

⁴⁹See examples from the Philippines (Esguerra 2024), Peru (Embajada del Perú en Reino Unido 2023), and Nigeria (U.S. Mission Nigeria 2023). Participation in these occasions is largely restricted to members of the governing coalition (e.g. Haubert 2023).

⁵⁰Zhu, Larrey and Santos (2015).

⁵¹Zhu, Larrey and Santos (2015, p. 18).

host countries,⁵² and firms expect to benefit from political connections through access and influence over policymaking.⁵³

MNCs assess potential locations across a range of factors, including infrastructure, market access, and labor availability,⁵⁴ yet perceptions about softer dimensions — such as credible assurances of political support — often prove decisive at the final selection stage, especially when several municipalities exhibit similar fundamentals.⁵⁵ Political alignment provides the credible assurances investors need at the entry stage, increasing FDI to aligned locations.

Promoting visibility and credible assurances of political support is a mutually beneficial endeavor for aligned municipal- and national-level politicians. For mayors, FDI generates employment, boosts tax revenues, and enhances political standing with constituents, so they reap direct electoral rewards from attracting it.⁵⁶ For national legislators, who often depend on local constituencies to boost their own electoral support,⁵⁷ channeling FDI to aligned municipalities helps strengthen their local influence.

New investment projects generate political benefits for both mayors and their legislative allies, though not always equally. The distribution of credit depends on institutional context: legislators might receive more credit in single-member districts than in multi-member districts, and mayors might receive more credit in presidential systems (where the executive serves as a focal point that voters reward or punish) than in parliamentary systems (where there is more clarity of responsibility and voters might directly reward the efforts of legislators). Despite these contextual differences, national legislators retain a vested interest in strategic municipalities, seeking their success and the continued tenure of allied mayors (or their successors) to enhance their local political influence. Attracting FDI helps to advance this goal.

In short, political ties shape local investment patterns by increasing municipalities' visibility to investors and by providing credible assurances of political support that non-aligned mayors cannot match — relational advantages that operate at the entry stage, before the potential material benefits of alignment have had time to materialize. While these mechanisms are not mutually exclusive with material channels, and may even reinforce each other, we focus on the relational

⁵²Bhagwati, Dinopoulos and Wong (1992).

⁵³De Figueiredo and Richter (2014).

⁵⁴Maitland and Sammartino (2015).

⁵⁵Zhu, Larrey and Santos (2015, 12).

⁵⁶Owen (2019); Jensen and Malesky (2018).

⁵⁷This dynamic is clearest in majoritarian electoral systems (like the US and UK) and mixed-member systems (such as Germany and Japan), but it also applies in proportional representation systems with informal regional power bases, such as Brazil, Colombia, and Indonesia.

logic.

4 The Case of Brazil

4.1 Background

We test our central hypothesis using data from Brazil, an especially relevant case for two reasons. First, Brazil is the largest FDI recipient among non-high-income economies.⁵⁸ Its size and deep regional inequalities allow for substantial within-country variation in FDI inflows. In a country of this size, even resource-seeking investors, who face tighter geographical constraints than market- or efficiency-seeking investors, have meaningful choices among municipalities. Second, Brazil is a presidential democracy whose federal structure grants significant autonomy to its 5,570 municipal governments, sorted into 26 states and one federal district. General elections for president, governors, and the National Congress occur every four years, with midterm elections for mayors and city councils. All municipalities follow a mayor-council system, with directly elected mayors who hold substantial executive powers.⁵⁹

In Brazil, political ties across levels of government are central to intergovernmental relations. Mayors value connections with the national governing coalition because these often bring material benefits, such as more federal resources.⁶⁰ Simultaneously, municipal elections hold strategic importance for National Congress members, who are elected through proportional representation with regional lists and rely on entrenched local political networks. Mayors act as local brokers for national legislators, mobilizing electoral support,⁶¹ while legislators help advance the president’s agenda in Congress.⁶² This interdependence is so strong that members of Congress and even presidents actively campaign for allied mayoral candidates in local elections.⁶³

To our knowledge, ours is the first study to test whether political ties shape the distribution of FDI at the municipal level, extending patterns suggested by prior research.⁶⁴ Brazil offers a “most likely” case for initial theory testing. Coali-

⁵⁸UNCTAD (2022).

⁵⁹There are only two exceptions: the capital Brasília does not have a local-level government, and the island of Fernando de Noronha has a city manager appointed by the state government of Pernambuco. We exclude both from our discussion and subsequent analysis.

⁶⁰Brollo and Nannicini (2012); Bueno (2018); Meireles (2018).

⁶¹Novaes (2018).

⁶²Zucco and Power (2024).

⁶³Ribeiro (2024); Ferreira (2024); Martins (2024).

⁶⁴Giraudy, Urdinez and Freitas (2024).

tional presidentialism is a well-recognized feature of Brazilian politics,⁶⁵ yet the party system is sufficiently fragmented that mayors actively compete for national allies.⁶⁶ Party discipline within governing coalitions is high enough to make alignment a credible indicator of future political support.⁶⁷ Mayors, in turn, hold significant authority and visibility, positioning them as effective advocates for their municipalities.⁶⁸

Despite the characteristics of our most-likely case, the argument should travel to other major middle-income FDI recipients with federal or semi-federal systems, in which the national executive controls access to some political and fiscal resources, or where vertical partisan linkages are meaningful, such as Mexico and Argentina.⁶⁹ Alignment at the state/province level shapes the subnational allocation of Chinese extractive FDI across all three countries.⁷⁰ We use Brazilian municipalities to test whether this pattern extends to a broader range of sectors and source countries; whether it also extends downward to the municipal level in Mexico and Argentina remains an open question. More broadly, the mechanism should be weaker in settings where governing does not depend on multiparty coalitions, where party discipline is low, where municipal governments are fiscally autonomous, or where mayors have limited institutional prominence. These scope conditions clarify both the argument’s external relevance and its institutional boundaries.

4.2 Case Study: Heineken in Brazil

Before conducting a statistical analysis of all Brazilian municipalities, we follow the case selection techniques outlined by Seawright and Gerring⁷¹ and examine an extreme case that illustrates how local-national political connections influence FDI attraction. The case of the Dutch beverage manufacturer Heineken is not representative: foreign firms rarely invest \$350 million and create 350 direct jobs in a single municipality. This constitutes a classic example of selecting on the dependent variable, which Seawright and Gerring⁷² describe as a useful exploratory strategy that “serves as an entrée into a subject”. We use this case to clarify the mechanisms that are harder to detect in representative cases. Another advantage

⁶⁵Zucco and Power (2024).

⁶⁶Maia (2022).

⁶⁷Ribeiro, Locatelli and Assis (2022); Picussa, Souza and Codato (2023).

⁶⁸Owen (2019).

⁶⁹Giraudy (2015).

⁷⁰Giraudy, Urdinez and Freitas (2024).

⁷¹Seawright and Gerring (2008).

⁷²Seawright and Gerring (2008, 302).

of the Heineken case is that its prominence made abundant information accessible, which is uncommon in investment deals.

Heineken established its presence in Brazil — the world’s third-largest beer market — through mergers and acquisitions in 2017. In December 2020, Heineken announced its first greenfield project in Brazil: a brand new brewery in Pedro Leopoldo, a small town of 60,000 located 40 km (25 miles) away from Belo Horizonte, the capital of the state of Minas Gerais. Pedro Leopoldo met two key technical criteria: high-quality freshwater (crucial for beer production) and proximity to Brazil’s most densely populated regions.

However, in September 2021, Brazil’s Ministry of Environment halted construction over concerns about wildlife displacement, water depletion, and threats to archaeologically significant caves, including the site of the oldest human fossil found in the Americas.⁷³ Despite legal support at the state level, Heineken ultimately withdrew its investment, citing reputational concerns and potential policy reversal (the state-level permit was a preliminary injunction that could be overturned). Heineken’s director of Corporate Affairs justified the decision by pointing to “the instability in legal interpretation between state and federal bodies, along with the involvement of other departments.”⁷⁴

Heineken remained committed to building a factory in the state of Minas Gerais. After the Pedro Leopoldo deal collapsed, 230 of the state’s 853 municipalities expressed interest in hosting the brewery, underscoring the intense subnational competition for FDI. Among at least six serious contenders, two — Uberlândia and Uberaba — were favored by Governor Romeu Zema for their proximity to his hometown, a core electoral base.⁷⁵ Two weeks before the final announcement, Heineken even pre-leased land in Uberaba.⁷⁶ However, Uberaba’s bid suffered from poor coordination between local and national political actors. Congressman Franco Cartafina — who had won about a third of his votes in Uberaba and once sat on its city council — offered to meet with Heineken representatives and lobby for his hometown, but was reassured by the municipal administration that “everything was on track.”⁷⁷ Congressman Aelton Freitas (a resident of Uberaba) and Brazil’s then-Minister of Agriculture, Marcos Montes (Uberaba’s former mayor), were not even approached to help with negotiations.⁷⁸ According to City Council member Paulo César Soares, Mayor Elisa Araújo overestimated the strength of

⁷³Adler (2021).

⁷⁴Valverde (2021).

⁷⁵Alves (2022).

⁷⁶Manfrim (2022).

⁷⁷This anecdote was relayed in one of Uberaba’s City Council meetings: <https://www.youtube.com/watch?v=I80f5mmcssA>

⁷⁸Prata (2022).

her political connections: “[Mayor] Elisa claims to be a good friend of [Governor] Zema, but he doesn’t even remember that she exists.”⁷⁹

Another contender was the municipality of Passos, population 112,000. Crucially, Passos was the hometown of the President of the National Congress, Senator Rodrigo Pacheco. To negotiate with Heineken, Pacheco mobilized a network of allies, including a member of the National Congress, Emidinho Madeira; a former member of the National Congress, Renato Andrade; a member of the state legislature, Cássio Soares; and the mayor of Passos, Diego Oliveira — all members of parties in the president’s governing coalition then. On April 19, 2022, Pacheco approved funding to pave a state highway leading to Passos.⁸⁰ Exactly one week later, Heineken announced that Passos would host its new Brazilian brewery.⁸¹

State representative Soares downplayed the role of politics: “Heineken’s decision is not political. Heineken chose Passos because it has characteristics that favor industrialization... we have a town with an airport, a public university..., abundant water, and a reasonable Human Development Index.”⁸² Yet other towns offered similar or even superior characteristics. Uberaba has a population of 340,000, a higher Human Development Index, abundant water, an airport, a public university, a more extensive road network, and better access to major cities. Uberaba’s local politicians had comparatively strong political connections that could have provided investors with credible assurances of political support. However, these connections went unused. In contrast, Passos’s political actors were proactive and coordinated. The Secretary of Planning described their strategy to enhance the town’s visibility: “We made presentations, we took [Heineken] to the locations, we presented studies showing the strategic location of Passos, what audience they wanted to reach, what demand, and on top of that, we showed that Passos had these characteristics that they were looking for.”⁸³ Mayor Oliveira, re-elected with 88.05 percent of the votes in 2024 and now dubbed “Heineken’s mayor,” noted: “We spared no effort, we went after it, we ran, we knocked on the doors of comrades who helped us.”⁸⁴ Passos swiftly approved licenses and granted generous tax incentives. Construction of the brewery began in March 2023 and was concluded in November 2025.⁸⁵

⁷⁹For a transcription of the Council member’s remarks, see <https://portal.camarauberaba.mg.gov.br/noticias/uberaba-perde-oportunidade-e-heineken-anuncia-instalacao-em-passos/>

⁸⁰Alves (2022).

⁸¹Nascimento (2022).

⁸²Peixoto and Garcia (2022).

⁸³EPTV2 (2022).

⁸⁴Folha da Manhã (2023).

⁸⁵Grupo HEINEKEN Brasil (2025).

Heineken’s case, while extreme, highlights several key aspects of our argument. First, subnational competition is often nested, with municipal-level competition unfolding within a single state. Second, foreign corporations have multiple viable options even after accounting for location preferences. Third, foreign investors are not always familiar with the specifics of potential sites, and alignment can help put a location on investors’ radar: through coordinated efforts, the mayor and allied national politicians actively marketed Passos as a viable site for Heineken’s factory. Fourth, visibility alone does not win a bid: the coordinated campaign in favor of Passos also helped elevate it above the rest. While places like Uberaba and Uberlândia may have had stronger fundamentals, Passos’s proactive use of political connections yielded credible assurances of political support for the investment, including a paved highway, but not limited to it. Not all mayors use their connections effectively (as the case of Uberaba illustrates). This heterogeneity suggests that what matters is not alignment alone, but the active deployment of political ties through brokerage and coordination, a bundled process in which the visibility and credibility of political support drive investment attraction, with material benefits sometimes serving as a tangible manifestation of that credibility.

5 Data

5.1 Outcome Variable: FDI Transactions

Our outcome variable is the annual *FDI Transaction Count* to each Brazilian municipality from January 1, 2012, to December 31, 2021, using data from the Brazilian Central Bank (BCB), which records all firm-level FDI transactions in Brazil. Whenever a foreign firm transfers capital to a Brazilian firm, the latter must report this information to the BCB within 30 days, using the digital platform SCE–IED (a Portuguese acronym for “Foreign Capital Reporting System – Foreign Direct Investment”). Each transaction represents a foreign firm’s decision to invest, whether through a greenfield project (in which capital funds a newly created firm) or a brownfield project (in which capital flows into an existing firm). Individual transaction values are confidential, so we cannot use investment volume as our outcome. Since we are interested in location decisions (whether foreign firms choose a municipality at all and how frequently), transaction counts are an appropriate measure of the extensive margin of FDI.⁸⁶

The original BCB data is recorded at the *foreign firm-Brazilian firm* level. We

⁸⁶As a validation check, the BCB reports *aggregate FDI values* by state for 2015 and 2020, which correlate strongly with transaction counts ($r = 0.908$, $p = 0.000$), suggesting that a similar relationship is plausible at the municipal level.

use Brazil’s National Registry of Legal Entities (CNPJ) to identify each domestic firm’s municipality and aggregate the transactions to the *municipality-year* level. To avoid artificially inflating FDI activity, we only consider the *first* annual transfer from any foreign investor to each domestic firm. This approach mitigates concerns that investors may split transfers into smaller amounts for fiscal or administrative reasons. If multiple foreign partners invest in the same Brazilian firm within a year, we treat it as a single transaction, assuming their decisions are interdependent.⁸⁷ Thus, our outcome variable reflects the number of distinct firms in each municipality that received foreign capital at least once per year, indicating how frequently foreign firms invest in each location.

From 2012 to 2021, Brazil recorded 33,254 FDI transactions. As Figure 1 illustrates, the geographic distribution aligns with expectations: excluding São Paulo and Rio de Janeiro — Brazil’s two largest cities with 13,238 and 3,692 transactions, respectively —, the average municipality attracted 0.597 transactions each year. Notably, 4,382 municipalities received no FDI transactions during the entire period.

Our publicly available data offer several advantages over other sources used in the FDI politics literature. First, our municipal-level data provide a level of granularity rarely seen in subnational FDI studies.⁸⁸ Second, our data originate from a national registry and thus provide comprehensive coverage of FDI across the country. In contrast, datasets that rely on news reports or other secondary sources, like *fDi Markets*, may underreport FDI activity in remote regions, where coverage is sparser. Accordingly, our dataset is unlikely to exhibit nonrandom missingness. Third, the BCB data capture actual financial transactions, rather than announcements that may never materialize. Announcements are appropriate to answer other research questions,⁸⁹ but in our case, they could introduce noise.⁹⁰

5.2 Independent Variable: Political Alignment

We argue that mayors with political ties to the national governing coalition will attract more FDI than mayors without such ties. These ties manifest in observable

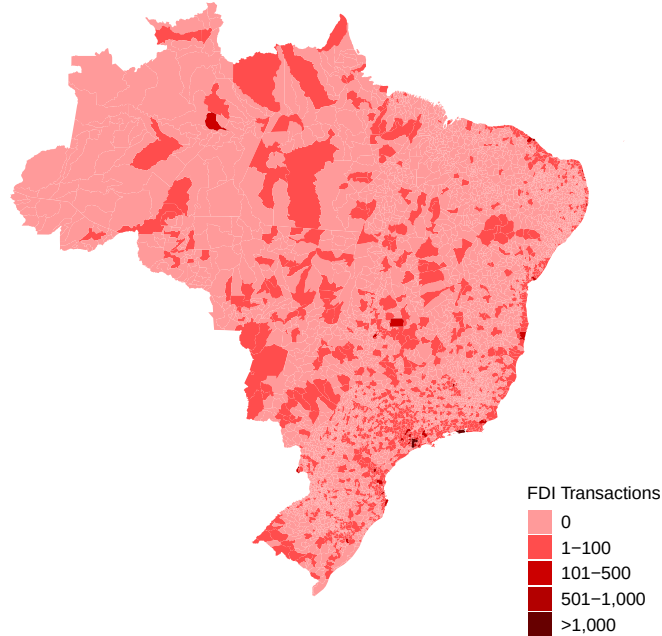
⁸⁷ Appendix B shows results hold when relaxing both simplifications: using all transactions, not just the first, and treating multi-partner investments as separate decisions.

⁸⁸ Garriga and Phillips (2022); Garriga (2022).

⁸⁹ Owen (2019).

⁹⁰ We initially considered the possibility that Brazilian firms might report transactions that had not yet occurred or would not occur. However, interviews with BCB officials indicated that firms are unlikely to report “intent to invest” without concrete plans, as reporting involves administrative costs. While some firms may report transactions one or two months in advance, our annual aggregation mitigates this concern.

Figure 1: FDI Transactions to Brazilian Municipalities, 2012–2021



This figure shows the total number of FDI transactions to Brazil’s 5,570 municipalities between 2012 and 2021.

ways, such as aligned mayors appearing alongside national politicians at investment promotion events, trade delegations, and meetings with firm representatives, but are difficult to measure systematically. Following other studies of Brazilian politics,⁹¹ we rely on party affiliations as an indirect but systematic proxy for political ties. In Brazil’s highly fragmented party system, presidents must assemble multi-party coalitions to govern effectively.⁹² Accordingly, for each year in the dataset, we identify the composition of the national governing coalition and measure the degree to which each mayor’s party is aligned with it.⁹³

⁹¹Brollo and Nannicini (2012); Meireles (2018); Power and Rodrigues-Silveira (2019).

⁹²Zucco and Power (2024). In our period of analysis, the number of parties represented in Congress fluctuated between 22 and 30 (Maia 2022).

⁹³In settings like the US, it is possible to measure a municipality’s political ties more directly, as House Representatives — elected through plurality voting in single-member districts — hold direct connections with a narrowly defined local constituency. In contrast, Brazilian members of Congress are elected through proportional representation in large, multi-member districts, so no formal institutional link exists between legislators and specific municipalities. For instance, the 53 federal congressional representatives from Minas Gerais collectively represent the state’s 20.5 million residents, so no individual legislator is directly accountable to a municipality like

To construct the *Political Alignment* variable, we use data from the Superior Electoral Court (Tribunal Superior Eleitoral, TSE) to identify the winners of all mayoral elections in 2008, 2012, 2016, and 2020, and of over 500 special elections held to fill vacant mayoral seats.⁹⁴ For each year of a mayor’s term, we record their party affiliation. We then link municipal data to voting records on motions in the lower chamber of the National Congress. For each motion, the president can issue a formal voting recommendation, reflecting the Latin American pattern of “proactive presidents” and “reactive assemblies.”⁹⁵ We calculate the annual share of motions for which the mayor’s party leadership voted in accordance with the president’s voting recommendation.⁹⁶ The resulting *Political Alignment* measure is continuous: higher values indicate stronger alignment with the federal executive, and thus with the national governing coalition.⁹⁷ In additional analyses, we dichotomize this variable, such that mayors count as aligned if their parties vote with the president at least 90 percent of the time (Appendix B).

We do not assume that MNCs directly observe or monitor the voting behavior of mayors’ parties in Congress. Rather, legislative voting alignment captures the underlying political relationships that actors themselves make observable through public appearances, coordinated campaigns, and other channels through which MNCs plausibly encounter them. One limitation is that legislative voting may miss the informal and personal ties central to our relational access mechanism. A mayor whose party is formally aligned, but who lacks personal connections to influential national politicians, may be less effective at mobilizing advocates than our measure suggests. To address this, additional tests in Appendix B capture more direct personal ties between legislators and specific localities by controlling for MPs’ municipalities of birth and voter registration.

Passos. However, members of Congress often derive a large portion of their votes from a few key municipalities. Given these features of the Brazilian electoral system, a coalitional proxy offers the most appropriate measure of influential political ties.

⁹⁴Special elections (Eleições Suplementares) usually take place when the elected mayor is suspended from office because of involvement with corruption or other irregularities.

⁹⁵Cox and Morgenstern (2001).

⁹⁶Although Brazilian parties vary in internal discipline (Amorim Neto 2002), studies covering our time frame find consistently high levels of party discipline, typically between 80% and 90% (Ribeiro, Locatelli and Assis 2022; Picussa, Souza and Codato 2023). These findings support using legislative voting as a proxy for party alignment and, by extension, municipal-federal ties.

⁹⁷We measure alignment annually to capture potential shifts in the governing coalition driven by party switching and election outcomes. Still, alignment exhibits limited short-run variation in practice. Unless there are major political events (e.g., Dilma Rousseff’s impeachment in 2016) or significant party switches — e.g., a mayor switching from a conservative party to a progressive party or vice-versa, which is generally rare (Desposato 2006) and occurs in only 5.5% of our observations —, alignment is typically stable in the two-year period when the same mayor and president are in office, and often beyond.

5.3 Control Variables

Prior research has shown that several political variables shape subnational FDI attraction.⁹⁸ Correspondingly, our models control for *Mayor Ideology*, the ideology of the mayor’s party, which ranges from -1 (extreme left) to 1 (extreme right), using data from Zucco and Power.⁹⁹ Ideology is not strongly correlated with political alignment in our setting ($r = 0.34, p < 0.001$), reflecting the limited role of programmatic politics and the diversity of governing coalitions in Brazil.¹⁰⁰ This suggests that ideology and alignment capture distinct dimensions of politicians’ profiles that may relate differently to FDI attraction. We also include a dichotomous variable that takes the value of 1 in years of *Mayoral Election*, as political uncertainty during campaigns may deter investment decisions. Another dichotomous variable takes the value of 1 during *Mayor Second Term*; term-limited mayors might face weaker incentives to cultivate investor relationships and deliver long-term economic projects.

While our main focus is on political variables, the Heineken case study highlights the importance of infrastructure access, labor market characteristics, and local economic fundamentals as factors municipalities actively promoted to investors alongside their political connections. Thus, models control for several of these factors, all lagged by one year to avoid simultaneity bias. From the Brazilian Institute of Geography and Statistics (IBGE), we obtain *GDP* (in current Brazilian reais) and *Population Density* (total population divided by area) to capture a municipality’s economic output and market size, respectively. From the Ministry of Labor’s RAIS database, we capture labor market characteristics using the percentage of *STEM Workers* (engineers, mathematicians, statisticians, computer scientists, physicists, chemists, and biologists, as labeled by the Brazilian Classification of Occupations) and *Manufacturing Workers*. We log these four variables; before logging, we add one to all municipalities and years with no STEM or manufacturing workers.

The municipal homicide rate (out of 100,000, logged), reported by DATASUS (the Ministry of Health’s administrative dataset), measures “diseconomies of scale” that might deter FDI. Two dichotomous, time-invariant measures indicate the presence of a public airport or port (maritime, river, or lake), reported by the Civil Aviation Agency and the Federal Revenue Service, respectively. In a country as large as Brazil, access to airports and ports is crucial for connecting firms to supply chains and distribution networks.¹⁰¹ Finally, we include a one-year lag of the

⁹⁸Halvorsen and Jakobsen (2013); Arvate and Story (2021); Garriga (2022).

⁹⁹Zucco and Power (2024).

¹⁰⁰Kitschelt et al. (2010); Alves (2024).

¹⁰¹Ideally, we would control for road density, which is not available at the municipal level.

dependent variable, as FDI tends to agglomerate at the local level and current investment decisions are likely influenced by past decisions.¹⁰²

6 Evidence from Multilevel Models

6.1 Model Specification

Count outcomes are often modeled with a Poisson distribution, which assumes the mean and the variance of the outcome are equal. However, *FDI Transaction Count* suffers from overdispersion: its variance (354.192) far exceeds its mean (0.597). This suggests that the Poisson model is not appropriate. A more flexible alternative, the negative binomial distribution, introduces a dispersion parameter that accounts for unobserved heterogeneity or extra variability in the data, allowing the variance to exceed the mean. Yet our outcome presents an additional challenge: *FDI Transaction Count* contains many zeros, as nearly 80 percent of all municipalities did not attract a single transaction between 2012 and 2021. Therefore, we estimate a zero-inflated negative binomial model (ZINB), combining a negative binomial model with a logistic regression that predicts excess zeros; both use the same set of predictors. Our specification uses the full sample and explicitly models both the first stage (whether a municipality receives any FDI) and the second stage (how many FDI transactions it receives once it clears that hurdle).

Additionally, the data follow a hierarchical structure: municipalities within the same state are more similar to one another than to municipalities in different states, and municipalities in the same year are more similar to one another than to municipalities in different years. For this reason, we estimate multilevel models with random intercepts for state and year.¹⁰³ Random intercepts estimate a single variance parameter for the distribution of state-specific or year-specific intercepts. This captures unobserved differences between states, such as cultural, economic, or geographic factors that are difficult to quantify. By assuming that the state-specific intercepts are drawn from a common distribution, the model pools

¹⁰²Garriga (2022).

¹⁰³The large number of municipalities, paired with the two-equation structure of the zero-inflated negative binomial model, makes municipal random intercepts infeasible. Their inclusion would require one intercept per municipality in both the count and zero-inflation equations, resulting in 11,140 additional random parameters and leading to non-convergence and singular random-effects structures. Thus, we follow a consolidated literature focusing on subnational phenomena in Brazil (e.g., Litschig 2012; Litschig and Morrison 2013; Brollo et al. 2013; Owen 2019; Meireles 2018; Caselli and Michaels 2013) and use state-level random effects. This approach also accounts for other characteristics of our data: short panel, limited changes in political alignment, and a highly zero-inflated dependent count variable.

information across states. This helps stabilize parameter estimates and improves inference reliability, particularly for states with smaller sample sizes.

6.2 Results

Table 1 presents three zero-inflated negative binomial models that support our central hypothesis. Models 1 and 2 include all municipalities. Model 3 excludes Rio de Janeiro and São Paulo, two municipalities that accounted for half of all transactions during the study period and could skew the results.¹⁰⁴ In all models, coefficients indicate how a one-unit change in the corresponding predictor affects the logged incidence rate of *FDI Transaction Count*. Exponentiating these coefficients yields incidence rate ratios, which indicate the *percentage change* in the expected number of FDI transactions for a one-unit increase in the predictor.

Holding all other variables constant at their mean (for continuous variables) or reference category (for dichotomous variables), politically aligned municipalities attract 22.1 percent more FDI transactions ($e^{0.20} = 1.221$) than non-aligned municipalities, according to Model 2. This effect is statistically significant at the 5 percent level and remains robust to excluding Rio de Janeiro and São Paulo in Model 3. Put simply, municipalities are better positioned to attract FDI when their mayors are politically connected to influential national-level politicians, as proxied by their membership in parties that form part of the national governing coalition, the country’s most powerful political bloc. To contextualize the magnitude of this effect, the coefficient for Political Alignment is comparable in size to that of having a port (a costly, permanent infrastructure investment), suggesting that political ties represent a meaningful locational advantage. This reflects the full range of alignment, though; on average, municipalities experience more modest shifts.

The coefficient for *Mayor Ideology* is not statistically significant, consistent with the longstanding view that programmatic orientations play a limited role in Brazilian politics. Moreover, we find no evidence that political stability alone is sufficient to attract FDI, as the coefficient for *Mayor Second Term* is not statistically significant.¹⁰⁵ Most control variables display effects consistent with standard expectations about FDI attraction. The coefficient on *Manufacturing Workers* may seem surprising, but is likely because our dependent variable captures the number of FDI transactions rather than their value. In this context, manufacturing-oriented municipalities may attract fewer but larger investments. The positive

¹⁰⁴Since firms’ headquarters are heavily concentrated in São Paulo and Rio de Janeiro, excluding them also helps account for potential overestimation concerns.

¹⁰⁵Results from a VIF test (Appendix A) indicate low multicollinearity among our variables.

Table 1: The Effect of Political Alignment on FDI Transactions

	FDI Transaction Count		
	(1) All Transactions, All Municipalities	(2) All Transactions, All Municipalities	(3) All Transactions, Excl. RJ and SP
Political Alignment, t-1	0.43*** (0.14)	0.20** (0.08)	0.19** (0.08)
FDI Transaction Count, t-1		0.00*** (0.00)	0.05*** (0.00)
Mayor Ideology, t-1		0.01 (0.05)	-0.05 (0.05)
Mayoral Election, t-1		-0.19 (0.15)	-0.24 (0.15)
Mayor Second Term, t-1		0.06 (0.05)	0.04 (0.05)
GDP (Log), t-1		0.59*** (0.03)	0.45*** (0.03)
Population Density (Log), t-1		0.15*** (0.02)	0.10*** (0.02)
STEM Workers, % (Log), t-1		0.25*** (0.03)	0.18*** (0.03)
Manufacturing Workers, % (Log), t-1		-0.38*** (0.02)	-0.25*** (0.02)
Homicides per 100k (Log), t-1		-0.03 (0.03)	-0.01 (0.02)
Airport		-0.01 (0.05)	-0.06 (0.05)
Port		0.18** (0.08)	0.12* (0.07)
Intercept	-1.63*** (0.26)	-8.46*** (0.39)	-6.57*** (0.36)
AIC	42371.13	27106.50	26410.08
Log Likelihood	-21176.57	-13522.25	-13174.04
Observations	55245	51693	51675
Number of States	26	26	26
Number of Years	10	10	10
Variance: States (Intercept)	1.23	0.69	0.41
Variance: Years (Intercept)	0.01	0.06	0.07

This table presents the results of three multilevel zero-inflated negative binomial models. All models include random intercepts for state and year. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

coefficient on *STEM Workers* behaves as expected and may indicate that municipalities with a higher concentration of STEM workers receive more small transactions. In Appendix B, we show that the effect of *Political Alignment* is robust to excluding these two variables.

Table 2 presents the results of several robustness checks. First, we restrict the analysis to transactions in goods and services: agriculture, manufacturing, electricity, water, sewage, construction, retail, transport, food and accommodation, information and communication, and extractive sectors.¹⁰⁶ Ideally, we would ex-

¹⁰⁶In the Brazilian National Classification of Economic Activities (CNAE), this matches all sectors with code numbers 1 to 63. The correspondence between CNAE and ISIC+, NACE, NAICS, ANZSIC, and JSIC systems is available at <https://www.unepfi.org/impact/impact-radar->

Table 2: The Effect of Political Alignment on FDI Transactions: Robustness Checks

	FDI Transaction Count			
	(1) Goods and Services, All Municipalities	(2) Greenfield, All Municipalities	(3) All Transactions, All Municipalities	(4) All Transactions, All Municipalities
Political Alignment, t-1	0.19** (0.09)	0.20* (0.12)		
Alignment (House Speaker), t-1			0.25*** (0.09)	
Triple Alignment, t-1				0.25* (0.13)
FDI Transaction Count, t-1	0.01*** (0.00)	0.01*** (0.00)	0.00*** (0.00)	0.00*** (0.00)
Mayor Ideology, t-1	0.04 (0.06)	0.11 (0.08)	-0.02 (0.06)	0.04 (0.05)
Mayoral Election, t-1	-0.26 (0.19)	0.03 (0.18)	-0.18 (0.15)	-0.19 (0.15)
Mayor Second Term, t-1	0.09 (0.06)	-0.09 (0.08)	0.06 (0.05)	0.05 (0.05)
GDP (Log), t-1	0.57*** (0.03)	0.48*** (0.04)	0.59*** (0.03)	0.59*** (0.03)
Population Density (Log), t-1	0.10*** (0.02)	0.13*** (0.03)	0.15*** (0.02)	0.15*** (0.02)
STEM Workers, % (Log), t-1	0.21*** (0.03)	0.14*** (0.04)	0.24*** (0.03)	0.24*** (0.03)
Manufacturing Workers, % (Log), t-1	-0.34*** (0.03)	-0.44*** (0.03)	-0.38*** (0.02)	-0.38*** (0.02)
Homicides per 100k (Log), t-1	-0.05* (0.03)	-0.02 (0.04)	-0.04 (0.02)	-0.04 (0.03)
Airport	-0.04 (0.05)	0.14* (0.07)	-0.01 (0.05)	-0.01 (0.05)
Port	0.11 (0.08)	0.20** (0.10)	0.18** (0.08)	0.18** (0.08)
Intercept	-8.26*** (0.42)	-7.41*** (0.53)	-8.51*** (0.39)	-8.37*** (0.39)
AIC	23012.68	15894.02	27105.68	27104.70
Log Likelihood	-11475.34	-7916.01	-13521.84	-13521.35
Observations	51693	51693	51693	51693
Number of States	26	26	26	26
Number of Years	10	10	10	10
Variance: States (Intercept)	0.69	0.75	0.70	0.70
Variance: Years (Intercept)	0.10	0.09	0.06	0.06

This table presents the results of four multilevel zero-inflated negative binomial models. All models include random intercepts for state and year. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

amine each sector individually, but such disaggregation would produce sparse data and undermine the reliability of statistical inference. Moreover, given the heterogeneity of Brazilian municipalities, it is hard to determine *ex ante* which specific sectors should exhibit stronger effects. For these reasons, we focus on the more analytically tractable distinction between FDI in goods and services versus other sectors. Despite differences in their main economic activities, virtually all municipalities/impactmappings/sectors-mapping/.

ipalities should value investments in goods and services more, as they tend to be more visible and generate more jobs. Therefore, we expect mayors and their allies in the national governing coalition to go to greater lengths to leverage political connections with foreign investors in goods and services, increasing the odds of attracting FDI — a dynamic illustrated by the case of Heineken. Model 1 in Table 2 indeed shows that the coefficient of *Political Alignment* on FDI attraction in goods and services is positive and statistically significant. However, its magnitude is not larger than that of the main model reported in Table 1.

Second, we restrict the analysis to greenfield investments.¹⁰⁷ While politicians may actively seek brownfield investments under certain conditions,¹⁰⁸ political alignment should be particularly meaningful in attracting greenfield FDI, which tends to generate more visible benefits (such as job creation and infrastructure) and thus greater political value. Model 2 in Table 2 confirms a positive and statistically significant effect of political alignment on greenfield FDI, but again, the coefficient is not larger than the one in the main model. Putting all results together, at mean values of all covariates, a municipality with no alignment is predicted to receive 0.27 general FDI transactions, 0.27 goods and services transactions, and 0.24 greenfield transactions per year, rising to 0.33, 0.32, and 0.30 respectively at full alignment. The near-identical predicted gains across investment types suggest the mechanism operates broadly, rather than being concentrated in any particular category.

Finally, we explore alternative measures of political alignment. In Table 2, Model 3 measures alignment with the House Speaker as the proportion of times the mayor’s party leadership followed the voting recommendation of the Speaker’s party. This reflects another important source of political influence in Brazil. Model 4 measures a “triple alignment” that takes the value of one when the mayor, governor, and president all belong to the same party, capturing yet another potential channel through which mayors can cultivate valuable political ties. Our primary focus remains on connections to the federal government, the most visible actor for foreign investors and the one that sets the national framework for investment promotion. Still, state governments also shape FDI through incentives and infrastructure, though their role is harder to study systematically across 26 states. Both alternative measures yield positive and statistically significant effects on the outcome. These results suggest that the broader concept of political connections between local governments and influential national actors contributes to FDI attraction, regardless of how such ties are measured. This is especially relevant given

¹⁰⁷Following guidance from Central Bank officials, we classify FDI transactions as greenfield if they occur within 12 months of a recipient firm’s registration in the National Registry of Legal Entities (CNPJ) and as brownfield otherwise.

¹⁰⁸Bauerle Danzman (2020).

the inherent imperfections of the available proxies.¹⁰⁹

Our results are robust to a series of changes reported in Appendix B — for example, replacing year and state random effects with fixed effects; estimating Poisson, negative binomial, and hurdle models; lagging political alignment at $t - 2$ or $t - 3$; dichotomizing political alignment at 90%; and including dummies for presidential administrations. Appendix B also reports results from the zero-inflation component of our main ZINB specification. These show that alignment does not determine whether a municipality receives FDI *in the first place*, only *how much* FDI it receives once basic economic conditions are met. Relatedly, Appendix B interacts *Political Alignment* with two proxies for economic fundamentals: log GDP and log population density. In both cases, the interaction term is negative and statistically significant, indicating that the effect of alignment on FDI is strongest in municipalities with weaker fundamentals and attenuates as fundamentals improve.¹¹⁰ These results reinforce our expectation that political alignment does not substitute for fundamentals; rather, it conditions investor choice when municipalities are otherwise similar. They also speak to the practical scope of our finding: alignment may help municipalities already minimally competitive for FDI, by putting them on investors' radar and tipping the balance among otherwise similar options, rather than moving outcomes for the most dominant municipalities, which would attract investment regardless.

Appendix B also examines the effect of political alignment conditional on the mayor's margin of victory, finding that the positive association between alignment and FDI is strongest in close elections and weakens as margins increase. These results imply that political alignment matters most for FDI attraction in competitive aligned municipalities, suggesting that politicians strategically target these aligned jurisdictions rather than favoring their already established strongholds.

FDI attraction itself may strengthen the political position of incumbent mayors, creating reverse causality. However, Appendix B shows that lagged FDI does not predict subsequent alignment. Another concern is that more attractive municipalities are systematically more likely to have aligned mayors. This possibility is harder to rule out in the multilevel framework, so we complement these results with an RDD in the next section.

A final concern is that these results reflect MNCs investing in anticipation of future tangible benefits — such as intergovernmental transfers, investment incen-

¹⁰⁹Some features of our case study suggest that the hometowns of national politicians could drive FDI attraction to specific municipalities. In Appendix B, we estimate models using measures of national legislators' hometowns and voter registration locations. The effect of political alignment is robust to their inclusion, reinforcing the interpretation that political ties transmitted through coalitions across levels of government, rather than place of birth, explain FDI attraction.

¹¹⁰We thank an anonymous reviewer for this suggestion.

tives, or regulatory barriers — that aligned municipalities are expected to receive. We address this interpretation directly in the following sections, where we show that while alignment predicts discretionary transfers, these transfers themselves do not predict FDI and do not attenuate the alignment effect.

7 Evidence from Close Elections

7.1 Model Specification

Our multilevel models control for several sources of heterogeneity across municipalities and mayors, providing broad descriptive coverage across the full sample. Yet it is still possible that aligned and non-aligned mayors differ in relevant, unmeasured ways. To address these endogeneity concerns, we estimate a close-election RDD that exploits the as-if random assignment of mayors who narrowly win or lose an election against candidates with different alignment, reducing concerns about confounding from unobserved municipal-level characteristics. Close-election RDDs are often used in the context of the US — for example, to show that Republican governors attract more FDI than their Democratic counterparts.¹¹¹ But this empirical design is also valid for mayoral elections in Brazil.¹¹²

We structure our analysis following [Alberti, Díaz-Rioseco and Visconti](#),¹¹³ who use an RDD to show that political alignment reduces crime in Chile. Our outcome is a count. We restrict the sample to all elections in which (1) more than one candidate received valid votes¹¹⁴ and (2) the two most-voted candidates have different alignments (excluding instances where both are aligned, for example, or both are non-aligned). As before, we account for supplementary elections. Our running variable is *Margin of Victory*, the difference in vote share between the aligned and non-aligned candidates in the mayoral election. We consider a candidate aligned if their party leadership follows the president’s recommendation at least 90 percent of the time. Positive values indicate that the aligned candidate won the election, whereas negative values indicate the aligned candidate lost. The probability of treatment (i.e., the probability that the mayor is aligned) jumps from 0 to 1 at the margin of victory cutoff.

¹¹¹Wang and Heyes (2021).

¹¹²Brollo and Nannicini (2012); Litschig and Morrison (2013); De Magalhães (2015); Bueno (2018); Johannessen (2020); Toral (2024).

¹¹³Alberti, Díaz-Rioseco and Visconti (2022).

¹¹⁴In 2020, for example, 117 municipalities (2 percent of the total) only had one candidate ([Curado 2024](#)). Sometimes, one candidate receives 100 percent of all valid votes because the electoral court retroactively discarded the other candidates’ votes after finding them guilty of corruption. We also exclude these cases.

Our estimation uses the R package *rdrobust*.¹¹⁵ By default, *rdrobust* estimates a local linear regression using a triangular kernel that weighs observations as a function of their distance from the cutoff, selecting the optimal bandwidth that minimizes the mean squared error (MSE) of the estimated treatment effect at the cutoff (see Appendix C for results using other bandwidth selection procedures). We cluster standard errors by municipality and election cycle.

7.2 Results

Tables 3 and 4 confirm that well-connected mayors attract more FDI. To mirror the multilevel analysis, Table 3 reports RDD results for *all* transactions, whereas Table 4 reports RDD results only for transactions in goods and services or greenfield investment. The coefficients can now be interpreted as in a linear specification: political alignment increases the expected number of FDI transactions by approximately 0.08–0.09, an effect that is substantively meaningful given that most municipalities attract no FDI.

Table 3: The Effect of Political Alignment on FDI Transactions

	FDI Transaction Count	
	(1)	(2)
	All Transactions, All Municipalities, No Covariates	All Transactions, All Municipalities, Covariate-Adjusted
Political Alignment	0.09* (0.08)	0.08* (0.09)
Mayor Ideology (Pt. Estim.)		0.01
Bandwidth (MSE)	3.32	3.32
Effective Observations (Left)	1534	1534
Effective Observations (Right)	1654	1654

This table presents the results of two regression discontinuity models with robust p-values. All models cluster standard errors by municipality and election cycle. Model 2 adjusts for the covariate *Mayor Ideology*, which can lead to efficiency gains, though its point estimate has no substantive meaning (Calonico et al. 2019). *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

Following Model 2 of Table 3, Figure 2 illustrates these effects, including only observations within the optimal, MSE-minimizing bandwidth selected by *rdrobust*. The red line represents a linear fit, and the blue dots represent the evenly spaced bins of the running variable. Blue dots above the cutoff represent municipalities with aligned mayors, whereas blue dots below the cutoff represent municipalities with non-aligned mayors.

The key assumption of a close-election RDD is continuity: candidates just above the cutoff are similar to those just below, with the only systematic differ-

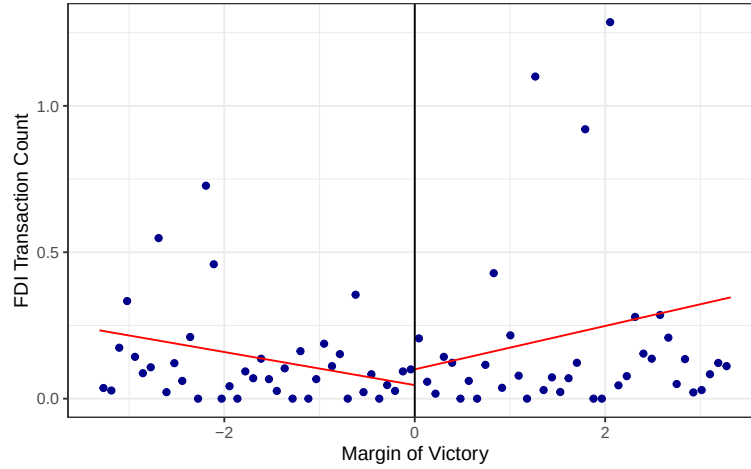
¹¹⁵Calonico, Cattaneo and Titiunik (2015).

Table 4: The Effect of Political Alignment on FDI Transactions: Robustness Checks

	FDI Transaction Count			
	(1) Goods and Services, All Municipalities, No Covariates	(2) Goods and Services, All Municipalities, Covariate-Adjusted	(3) Greenfield, All Municipalities, No Covariates	(4) Greenfield, All Municipalities, Covariate-Adjusted
Political Alignment	0.08** (0.04)	0.08** (0.03)	0.05** (0.04)	0.05** (0.03)
Mayor Ideology (Pt. Estim.)		0.00		-0.01
Bandwidth (MSE)	5.63	5.6	4.96	4.97
Effective Observations (Left)	2472	2463	2202	2205
Effective Observations (Right)	2671	2648	2375	2380

This table presents the results of four regression discontinuity models with robust p-values. All models cluster standard errors by municipality and election cycle. Models 2 and 4 adjust for the covariate *Mayor Ideology*, which can lead to efficiency gains, though its point estimate has no substantive meaning (Calonico et al. 2019). *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

Figure 2: The Effect of Political Alignment on FDI Transactions



Following Model 2 of Table 3, this figure shows the relationship between the FDI transaction count and the margin of victory for the aligned candidate, using evenly-spaced bins (the blue dots) and a linear fit (the red line). The figure only includes observations within the optimal bandwidth selected by *rdrobust*, which minimizes the mean squared error (MSE) of the estimated treatment effect at the cutoff.

ence being that one narrowly won and the other narrowly lost. As Appendix C shows, this assumption holds for most pre-treatment covariates, except for one. *Mayor Ideology* is not balanced, which means its distribution is not statistically similar across groups: a narrow winner is significantly more conservative (i.e., has a larger value of *Mayor Ideology*) than a narrow loser. Since this imbalance could affect the validity of the RDD, we estimate additional models adjusting for

this covariate.¹¹⁶ The estimated effects are virtually identical, indicating that this imbalance does not drive our findings.

One inherent limitation of the RDD is that it estimates the Local Average Treatment Effect (LATE), which reflects the treatment effect only for units close to the cutoff. Multilevel models are therefore important for generalizability: by incorporating all observations, they estimate overall effects across Brazilian municipalities, suggesting the treatment effect is not confined to those near the cutoff. Together, the global effect captured by multilevel models and the local effect captured by the RDD show that political ties consistently attract foreign capital at the local level, and that political alignment matters most for FDI attraction in competitive municipalities, where local allies are likely to be at greater electoral risk.¹¹⁷

8 Why Domestic Political Ties Attract FDI

We argue that domestic political ties increase FDI transactions by providing aligned mayors with greater opportunities to actively broker relationships with potential investors, increasing their municipality’s visibility to MNCs and providing credible political support for the investment at the entry stage.

Systematically identifying the effects of these softer mechanisms is inherently challenging, though. To assess the claim that these channels affect FDI attraction, we examine three tangible benefits that alignment plausibly generates and that investors are likely to value: (1) higher intergovernmental transfers, (2) greater investment incentives, and (3) fewer regulatory barriers. Demonstrating that these material mechanisms do not fully account for the observed relationship between political alignment and FDI would provide stronger support for our argument that political ties also operate through softer, relational channels — specifically, enhanced visibility to foreign investors and credible assurances of political support for the investment. For any tangible mechanism to hold, it must be significantly affected by alignment and, in turn, significantly affect FDI. To be clear, we do not

¹¹⁶One limitation of a “politician characteristic regression discontinuity design” (Marshall 2024) like ours is that it cannot isolate the effect of political alignment from other individual-level characteristics (like ideology) that might also affect FDI attraction. This is another reason to adjust for *Mayor Ideology* to estimate these effects separately. That said, alignment and ideology are not strongly correlated ($r = 0.34, p < 0.001$), and our multilevel models indicate that ideology has no significant independent effect on the outcome of interest.

¹¹⁷Although the RDD, by construction, mitigates endogeneity concerns, Appendix C reports placebo tests examining whether contemporaneous political alignment (t) predicts lagged FDI ($t - 1$). We find some evidence of anticipatory effects for aggregate FDI at ($t - 1$), but not for FDI in goods and services or for greenfield investments; moreover, we observe no effects at ($t - 2$) for any category. Overall, these tests suggest that anticipatory behavior is limited.

claim that softer and tangible mechanisms are mutually exclusive; political alignment may affect FDI through multiple channels simultaneously. Relatedly, a lack of statistical significance would not mean that these factors have *no* effect on site selection, only that they do not mediate the relationship between political alignment and FDI in our data.

To examine whether aligned municipalities attract more FDI due to more intergovernmental transfers, we use National Treasury data on two types of transfers from federal to municipal governments (in Brazilian reais, per capita). Non-discretionary transfers (*Fundo de Participação dos Municípios*, or FPM) follow strict population thresholds,¹¹⁸ whereas discretionary transfers (*convênios*) follow no pre-established set of criteria.¹¹⁹

To assess whether alignment increases federal investment incentives, which in turn might attract more FDI, we employ data published by the Federal Revenue Service in 2024. This dataset records the name and identification number of each firm that benefited from one of Brazil’s 24 federal incentive programs since 2015, along with the corresponding amount of tax revenue foregone by the federal government. We match this information with our firm-level FDI data; the resulting variable denotes the total amount of *Investment Incentives* (in Brazilian reais, per capita) granted to foreign firms, by municipality and year.¹²⁰

Finally, we use two proxies to assess whether alignment reduces investment-related regulatory barriers. One is a municipal-level fiscal management index created by the Industry Federation of the State of Rio de Janeiro (Firjan). This index, available since 2013, ranges from 0 to 1. The other is the average time to register a business, in hours, considering only the first step (*Pesquisa Prévia de Viabilidade*), which happens at the municipal level. This information is available for 2019–2021 from the Federal Revenue Service.

We follow Baron and Kenny’s¹²¹ approach to mediation analysis, which entails three steps. First, we estimate the effect of political alignment on FDI transactions (Tables 1 to 4); second, we test whether political alignment predicts each proposed mediator (Table 5); and third, we assess whether the mediator predicts FDI and attenuates the estimated effect of political alignment when both are included in

¹¹⁸However, Brollo et al. (2013) and Litschig (2012) show that these thresholds are often manipulated.

¹¹⁹Like Bueno (2018), we use data on *all* discretionary transfers to mayors. In Appendix D, we show that our results are robust to using only discretionary capital transfers in the infrastructure sector, as Brollo and Nannicini (2012) do.

¹²⁰Due to data availability, our empirical analysis focuses on federal incentives. Though sub-national governments have the resources and discretion to grant incentives independently of the federal government, municipalities highly value many federal incentive programs.

¹²¹Baron and Kenny (1986).

the model (Table 6).

Table 5 presents the results of five RDDs for the second step, examining whether alignment affects potential mechanisms while controlling for *Mayor Ideology* (as before). Alignment has no significant effect on non-discretionary transfers, fiscal management, or time to register a business. Still, we detect a negative effect on investment incentives at the 10 percent significance level. Consistent with previous studies, we also find, at the 1 percent significance level, that aligned mayors receive more discretionary transfers than their non-aligned counterparts (Model 2), as illustrated in Figure 3. Compared to municipalities where the aligned candidate barely lost, municipalities where the aligned candidate barely won receive an average of 22.98 additional reais per capita in discretionary transfers. For context, the median municipality received 30.56 reais per capita in discretionary transfers between 2012 and 2021, suggesting that alignment can make a substantial difference.

Table 5: The Effect of Political Alignment on Intergovernmental Transfers, Investment Incentives, and Regulatory Barriers

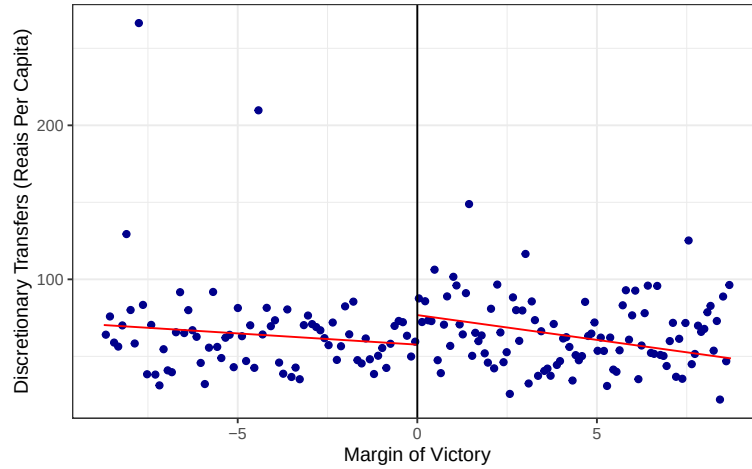
	Non-Discretionary Transfers	Discretionary Transfers	Investment Incentives	Fiscal Management	Time to Register a Business
	(1)	(2)	(3)	(4)	(5)
	2012–2021	2012–2021	2015–2021	2013–2021	2019–2021
Political Alignment	4.57 (0.89)	22.98*** (0.00)	−3.76* (0.08)	0.00 (0.99)	−0.81 (0.86)
Mayor Ideology (Pt. Estim.)	218.36	−5.93	2.14	0.05	−10.96
Bandwidth (MSE)	15.10	8.73	11.76	12.35	16.05
Effective Observations (Left)	5616	3664	4023	4326	1625
Effective Observations (Right)	6010	3844	4142	4422	1748

This table presents the results of five regression discontinuity models with robust p-values. All models cluster standard errors by municipality and election cycle. All models adjust for the covariate *Mayor Ideology*, which can lead to efficiency gains, though its point estimate has no substantive meaning (Calonico et al. 2019). *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

In sum, of the mechanisms considered, only discretionary transfers are meaningfully *affected* by political alignment. But do they *affect* FDI? Table 6 re-estimates the original multilevel models, adding *Discretionary Transfers* (logged) as an independent variable, performing the third step in our approach.¹²² Transfers have a *negative* effect on FDI transactions at the 10 percent significance level, but this estimate is no longer statistically significant at conventional levels once we restrict the analysis to transactions in goods and services (Model 2) or to greenfield investment (Model 3). Compared to Tables 1 and 2, the coefficients and significance levels for *Political Alignment* remain practically unchanged, indicating that *Discretionary Transfers* is not a mediator: it does not explain any variation in FDI that was previously attributed to alignment. In other words, we find no evidence that

¹²²Baron and Kenny (1986).

Figure 3: The Effect of Political Alignment on Discretionary Transfers



This figure shows the relationship between discretionary transfers (*convênio*) and the margin of victory for the aligned candidate, using evenly-spaced bins (the blue dots) and a linear fit (the red line). The figure only includes observations within the optimal bandwidth selected by *rdrobust*, which minimizes the mean squared error (MSE) of the estimated treatment effect at the cutoff.

transfers, investment incentives, or regulatory barriers mediate the relationship between political alignment and FDI in our data.

Table 6: The Effect of Political Alignment and Intergovernmental Transfers on FDI Transactions

	FDI Transaction Count		
	(1) All Transactions, All Municipalities	(2) Goods and Services, All Municipalities	(3) Greenfield, All Municipalities
Discretionary Transfers (Log), t-1	-0.02* (0.01)	-0.02 (0.01)	-0.03 (0.02)
Political Alignment, t-1	0.21** (0.08)	0.20** (0.09)	0.21* (0.12)
FDI Transaction Count, t-1	0.00*** (0.00)	0.01*** (0.00)	0.01*** (0.00)
Mayor Ideology, t-1	0.01 (0.05)	0.04 (0.06)	0.11 (0.08)
Mayoral Election, t-1	-0.20 (0.16)	-0.27 (0.19)	0.03 (0.18)
Mayor Second Term, t-1	0.07 (0.05)	0.09 (0.06)	-0.08 (0.08)
GDP (Log), t-1	0.59*** (0.03)	0.57*** (0.03)	0.48*** (0.04)
Population Density (Log), t-1	0.14*** (0.02)	0.09*** (0.02)	0.13*** (0.03)
STEM Workers, % (Log), t-1	0.24*** (0.03)	0.21*** (0.03)	0.14*** (0.04)
Manufacturing Workers, % (Log), t-1	-0.38*** (0.02)	-0.34*** (0.03)	-0.44*** (0.03)
Homicides per 100k (Log), t-1	-0.04 (0.03)	-0.05* (0.03)	-0.02 (0.04)
Airport	-0.01 (0.05)	-0.05 (0.05)	0.14* (0.07)
Port	0.18** (0.08)	0.11 (0.08)	0.21** (0.10)
Intercept	-8.40*** (0.39)	-8.22*** (0.42)	-7.37*** (0.53)
AIC	27106.85	23014.52	15894.73
Log Likelihood	-13520.42	-11474.26	-7914.37
Observations	51691	51691	51691
Number of States	26	26	26
Number of Years	10	10	10
Variance: States (Intercept)	0.69	0.69	0.75
Variance: Years (Intercept)	0.07	0.10	0.10

This table presents the results of three multilevel zero-inflated negative binomial models. All models include random intercepts for state and year. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

In sum, Tables 5 and 6 suggest that the three tangible channels we can measure (intergovernmental transfers, investment incentives, and regulatory barriers) cannot fully account for the observed relationship between political alignment and FDI. Admittedly, we cannot rule out subtler material channels, such as informal regulatory easing or preferential access to political networks, which are difficult to measure systematically. The Heineken case illustrates this complexity: the mayor's strategic use of his political ties helped attract the investment to his small municipality through relational channels, including credible assurances of

political support that materialized in a tangible benefit: a paved highway. Our results are most consistent with an interpretation in which visibility, credibility of political support, and material mechanisms are bundled together, with soft relational channels playing an important role that solely material proxies do not fully capture.

9 Conclusion

This paper advances a yet limited but growing research agenda on how local political dynamics affect the subnational allocation of FDI. We argue that intergovernmental political alignment raises municipal visibility and credible assurances of political support for the investment. Employing novel data on FDI transactions entering Brazilian municipalities between 2012 and 2021, we estimate multilevel regression models and a regression discontinuity design (RDD), finding that a municipality tends to attract more FDI transactions when the mayor's party belongs to the president's governing coalition in Congress. The effect holds across multiple specifications. Evidence from a strategic case study, combined with a mediation analysis of three tangible mechanisms, indicates that political ties enhance municipalities' visibility and credibility of political support to foreign investors. This pattern supports the idea that MNCs value softer factors when making final site decisions¹²³, and our findings suggest that political alignment is a key channel through which these factors operate.

We find little evidence that tangible benefits — namely, higher intergovernmental transfers, expanded investment incentives, or reduced regulatory barriers — fully account for the relationship between political alignment and FDI. However, subtler material channels we cannot observe may also play a role. Our results are most consistent with an interpretation in which softer and tangible mechanisms operate together.

Crucially, our case study suggests that, for political ties to attract FDI, mayors must leverage their connections to national allies, actively mobilizing them to promote their municipalities to potential investors through meetings, visits, and other outreach efforts. Yet, not all mayors do so effectively. This heterogeneity likely attenuates our estimates: if all mayors were equally capable of activating their political ties, the effect of alignment on FDI would likely be even stronger. Future research can delve deeper into what shapes mobilization and consider how other leader characteristics (like gender, education, ethnicity, or religion) interact with political connections to shape investment patterns. A related avenue to extend our approach would be systematically measuring mayoral alignment with

¹²³Zhu, Larrey and Santos (2015).

state-level governing coalitions. For instance, collecting data on roll-call motions across the 26 state legislative assemblies in Brazil will allow researchers to test whether the mechanisms we identify also apply to relationships between mayors and state governments.

Our results serve as a stepping stone for studying how and when domestic political ties shape not only FDI inflows but also other patterns of local integration with the global economy. In practice, policies that incentivize cooperation among different levels of government may play a key role in regional economic development strategies. Although this study uses evidence from Brazil, the same analytical framework could apply to other non-high-income democracies with electoral systems that privilege regional dynamics and where FDI inflows are unevenly distributed across locations. Much of this unevenness stems from local economic, social, and geographic aspects that are difficult to change in the short run. Municipalities cannot increase their market size, build extensive roads, or improve educational outcomes overnight. However, our findings suggest that political connections can (partially) level the playing field by increasing visibility and reducing uncertainty about political support, enabling municipalities to attract foreign capital even when they lose in some dimensions to similar competitors. Political ties make investors aware of municipalities that might otherwise go unnoticed and provide credible assurances of political support for the investment at the entry stage, persuading these investors that specific local investment environments are attractive.

A less optimistic reading of our results is that while political connections facilitate FDI, they may also reinforce patterns of favoritism and clientelism, as aligned municipalities receive disproportionate attention regardless of economic merits or needs.¹²⁴ Future research can assess whether political alignment enhances overall economic welfare or simply redistributes opportunities toward politically favored regions.

¹²⁴Arulampalam et al. (2009); Brollo and Nannicini (2012); Bracco, Porcelli and Redoano (2013).

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Appendix for Local Politics, Global Capital: The Effects of Domestic Political Ties on Foreign Direct Investment Attraction

Contents

A	Descriptive Information	2
A.1	Summary Statistics	2
A.2	Multicollinearity Among Variables	4
B	Evidence From Multilevel Models: Full Results and Alternative Specifications	4
B.1	Zero Stage of the Zero-Inflated Negative Binomial Model	4
B.2	Fixed Effects	5
B.3	Poisson, Negative Binomial, and Hurdle Models	6
B.4	Alternative Sample: Only Municipalities That Received FDI	7
B.5	Delayed Effects: Longer Lags of Political Alignment	8
B.6	Alternative Measures of Political Alignment	9
B.7	Presidency Fixed Effects	11
B.8	Interacting Political Alignment With Margin of Victory	12
B.9	Controlling for MPs' Municipal Ties	13
B.10	Interacting Political Alignment With Economic Fundamentals	14
B.11	Excluding Controls for Manufacturing and STEM Workers	17
B.12	Testing for Reverse Causality	18
B.13	Alternative Dependent Variable: Transaction Frequency	19
B.14	Alternative Dependent Variable: Cumulative Transactions	20
C	Evidence From Close Elections: Continuity Assumption	20
C.1	Running Variable	20
C.2	Covariate Balance Tests	22
C.3	Alternative Bandwidths	26
C.4	Placebo Tests	27
D	Why Alignment Attracts FDI: Robustness Checks	29
D.1	Logged Transfers and Investment Incentives	29
D.2	Mediation Analysis With Multilevel Models	30
D.3	Mediation Analysis With Alternative Measures of Intergovernmental Transfers	32
E	Data Availability Statement and Data Sources	35
F	References	36

A Descriptive Information

A.1 Summary Statistics

Table A.1: Summary Statistics: Data for Regression Discontinuity

Variable	N	Mean	Std. Dev.	Min	Pctl. 25	Pctl. 75	Max
FDI Transaction Count	33043	0.8488	24.3	0	0	0	1863
FDI Transaction Count, Goods and Services	33043	0.4374	10.45	0	0	0	783
FDI Transaction Count, Greenfield	33043	0.336	10.04	0	0	0	714
Margin of Victory	19993	1.507	22.51	-99.55	-10.21	12.84	99.55
Mayor Ideology, t-1	30787	0.09098	0.413	-0.9675	-0.3363	0.3991	0.7931
Mayor Ideology	31149	0.09603	0.4096	-0.9675	-0.3363	0.3991	0.8034
Mayor Second Term	33043	0.1775	0.3821	0	0	0	1
GDP (Log)	33043	12.29	1.463	9.102	11.23	13.05	20.54
Population Density (Log)	33006	3.3	1.46	-3.009	2.487	4.051	9.561
STEM Workers, % (Log)	33043	-0.8225	0.8539	-4.14	-1.421	0	3.57
Manufacturing Workers, % (Log)	33043	1.709	1.558	-3.571	0.04954	3.04	4.519
Homicides per 100k (Log)	33043	2.05	1.553	-0.3212	0	3.329	5.974
Airport	33043	0.08879	0.2844	0	0	0	1
Port	33043	0.01044	0.1016	0	0	0	1
Non-Discretionary Transfers	33018	946.2	731.4	12.13	510.7	1118	11227
Discretionary Transfers	33018	66.16	126.4	-0.1697	4.004	81.33	9703
Discretionary Capital Transfers	33018	54.45	103	-0.1697	0	66.19	3659
Investment Incentives	22132	2.968	70.3	0	0	0	6876
Fiscal Management Index	27727	0.4738	0.2127	0	0.3095	0.6328	1
Time to Register a Business	6760	51.3	59.72	0	21.76	59.11	1026

Table A.2: Summary Statistics: Data for Multilevel Models

Variable	N	Mean	Std. Dev.	Min	Pctl. 25	Pctl. 75	Max
FDI Transaction Count	55695	0.5971	18.82	0	0	0	1863
FDI Transaction Count, Goods and Services	55695	0.3212	8.113	0	0	0	783
FDI Transaction Count, Greenfield	55695	0.2365	7.784	0	0	0	714
FDI Transaction Count, Non-Unique	55695	0.814	25.98	0	0	0	2498
FDI Transaction Count, Cumulative Within Mayoral Term	55695	1.437	49.3	0	0	0	5602
Political Alignment (Continuous), t-1	55245	0.7749	0.2487	0	0.6739	0.9701	1
Political Alignment (Continuous), t-2	49706	0.7612	0.2433	0.05155	0.6625	0.9495	1
Political Alignment (Continuous), t-3	44171	0.7581	0.2422	0.05155	0.6607	0.9615	1
Political Alignment (90%), t-1	55690	0.4511	0.4976	0	0	1	1
Political Alignment (80%), t-1	55690	0.6147	0.4867	0	0	1	1
Political Alignment (House Speaker), t-1	55245	0.7908	0.2237	0.05882	0.7323	0.9462	1
Triple Alignment, t-1	55690	0.03081	0.1728	0	0	0	1
Mayor Ideology, t-1	51743	0.1602	0.3947	-0.9675	-0.1706	0.4343	0.7931
Mayoral Election, t-1	55690						
... 0	38668	69.43%					
... 1	17022	30.57%					
Mayor Second Term, t-1	55690						
... 0	47493	85.28%					
... 1	8197	14.72%					
President, t-1	55695						
... Bolsonaro	11140	20%					
... Dilma	27845	50%					
... Temer	16710	30%					
Margin of Victory, t-1	55647	0.1859	0.2185	0	0.05201	0.2248	1
GDP (Log), t-1	55690	12.18	1.432	8.998	11.14	12.94	20.45
Population Density (Log), t-1	55640	3.255	1.433	-3.211	2.466	4.005	9.575
STEM Workers, % (Log), t-1	55689	-0.8245	0.8525	-4.791	-1.427	0	3.57
Manufacturing Workers, % (Log), t-1	55690	1.734	1.558	-3.81	0.1091	3.069	4.519
Homicides per 100k (Log), t-1	55689	1.99	1.569	-0.4717	0	3.304	5.877
Airport	55695						
... 0	50865	91.33%					
... 1	4830	8.67%					
Port	55695						
... 0	55155	99.03%					
... 1	540	0.97%					
MP Born in Municipality = 1, t-1	55695	0.05027	0.2185	0	0	0	1
MP Born in Municipality (Count), t-1	55695	0.09197	0.7944	0	0	0	30
MP Registered in Municipality = 1, t-1	55695	0.04069	0.1976	0	0	0	1
MP Registered in Municipality (Count), t-1	55695	0.09211	0.8673	0	0	0	36
Non-Discretionary Transfers (Log)	55649	6.673	0.6566	2.575	6.267	7.066	9.471
Discretionary Transfers (Log)	55658	2.991	1.891	-0.1859	1.576	4.421	9.18
Discretionary Capital Transfers (Log)	55658	2.57	2.005	-0.1859	0	4.219	8.205
Investment Incentives (Log)	38962	0.08574	0.536	0	0	0	8.836
Fiscal Management Index	47992	0.4779	0.2113	0	0.3163	0.636	1
Time to Register a Business	11637	51.58	65.55	0	21.71	58.78	1874
Non-Discretionary Transfers (Log), t-1	55648	6.6	0.6465	2.496	6.205	6.975	9.212
Discretionary Transfers (Log), t-1	55656	2.962	1.95	-13.99	1.533	4.419	9.18
Discretionary Capital Transfers (Log), t-1	55656	2.529	2.05	-13.99	0	4.214	8.893
Fiscal Management Index, t-1	42566	0.464	0.2064	0	0.3068	0.6159	1

A.2 Multicollinearity Among Variables

Results from a variance inflation factor (VIF) test suitable for generalized linear models indicate low multicollinearity. The test was conducted using the full model reported in Table 1 in the main text (Model 2).

Table A.3: VIF Test Results for GLM

Variable	VIF	VIF_CI_low	VIF_CI_high	SE_factor	Tolerance	Tolerance_CI_low	Tolerance_CI_high	Component
FDI Transaction Count, t-1	1.18	1.17	1.19	1.09	0.85	0.84	0.86	conditional
Political Alignment (Continuous), t-1	1.03	1.02	1.04	1.02	0.97	0.96	0.98	conditional
Mayor Ideology, t-1	1.06	1.05	1.07	1.03	0.94	0.93	0.95	conditional
Mayoral Election, t-1	1.01	1.00	1.03	1.00	0.99	0.98	1.00	conditional
Mayor Second Term, t-1	1.03	1.02	1.04	1.01	0.97	0.96	0.98	conditional
GDP (Log), t-1	3.87	3.81	3.93	1.97	0.26	0.25	0.26	conditional
Population Density (Log), t-1	2.43	2.40	2.47	1.56	0.41	0.41	0.42	conditional
STEM Workers, % (Log), t-1	1.52	1.50	1.53	1.23	0.66	0.65	0.67	conditional
Manufacturing Workers, % (Log), t-1	1.12	1.11	1.13	1.06	0.90	0.89	0.90	conditional
Homicides per 100k (Log), t-1	1.17	1.16	1.18	1.08	0.86	0.85	0.87	conditional
Airport	1.46	1.45	1.48	1.21	0.68	0.68	0.69	conditional
Port	1.18	1.17	1.20	1.09	0.85	0.84	0.85	conditional
FDI Transaction Count, t-1	1.02	1.01	1.03	1.01	0.98	0.97	0.99	zero inflated
Political Alignment (Continuous), t-1	1.05	1.04	1.06	1.02	0.96	0.95	0.96	zero inflated
Mayor Ideology, t-1	1.05	1.05	1.06	1.03	0.95	0.94	0.96	zero inflated
Mayoral Election, t-1	1.00	1.00	1.04	1.00	1.00	0.97	1.00	zero inflated
Mayor Second Term, t-1	1.01	1.00	1.02	1.01	0.99	0.98	1.00	zero inflated
GDP (Log), t-1	2.37	2.33	2.40	1.54	0.42	0.42	0.43	zero inflated
Population Density (Log), t-1	1.72	1.70	1.74	1.31	0.58	0.57	0.59	zero inflated
STEM Workers, % (Log), t-1	1.10	1.09	1.11	1.05	0.91	0.90	0.92	zero inflated
Manufacturing Workers, % (Log), t-1	1.16	1.15	1.17	1.08	0.86	0.85	0.87	zero inflated
Homicides per 100k (Log), t-1	1.20	1.19	1.22	1.10	0.83	0.82	0.84	zero inflated
Airport	1.29	1.28	1.30	1.14	0.78	0.77	0.78	zero inflated
Port	1.05	1.04	1.06	1.03	0.95	0.94	0.96	zero inflated

B Evidence From Multilevel Models: Full Results and Alternative Specifications

B.1 Zero Stage of the Zero-Inflated Negative Binomial Model

Table B.1 presents the zero-stage results of the three main zero-inflated negative binomial models. This zero stage uses a logit link to model the probability of observing a structural zero, that is, no FDI transaction. A positive coefficient indicates that the variable in question *increases* the probability of zero FDI; conversely, a negative coefficient indicates that the variable in question *reduces* the probability of zero FDI.

Unsurprisingly, structural factors like higher GDP, higher population density, more manufacturing workers, and the presence of an airport or a port significantly *reduce* the probability of zero FDI (or, put simply, increase the odds that the municipality will have at least one FDI transaction). *Political Alignment* has no significant effect on the probability of receiving *any* FDI (nor do any other political variables). Its effect appears only in the conditional count stage, among municipalities that *do* receive investment. This pattern aligns with our theoretical expectations. Our argument is not that political alignment can overcome the structural limitations of municipalities with weak fundamentals or low baseline attractiveness, only that alignment can tip the balance.

Table B.1: The Effect of Political Alignment on FDI Transactions (Zero Stage)

	FDI Transaction Count		
	(1) All Transactions, All Municipalities	(2) All Transactions, All Municipalities	(3) All Transactions, Excl. RJ and SP
Political Alignment, t-1	0.56* (0.32)	0.19 (0.16)	0.17 (0.15)
FDI Transaction Count, t-1		-2.25*** (0.17)	-2.19*** (0.16)
Mayor Ideology, t-1		-0.04 (0.10)	-0.08 (0.10)
Mayoral Election, t-1		0.11 (0.22)	0.03 (0.18)
Mayor Second Term, t-1		0.04 (0.11)	0.03 (0.11)
GDP (Log), t-1		-0.60*** (0.04)	-0.70*** (0.04)
Population Density (Log), t-1		-0.02 (0.04)	-0.08** (0.03)
STEM Workers, % (Log), t-1		0.08 (0.05)	0.02 (0.05)
Manufacturing Workers, % (Log), t-1		-0.35*** (0.03)	-0.23*** (0.03)
Homicides per 100k (Log), t-1		-0.05 (0.04)	-0.03 (0.03)
Airport		-0.17* (0.11)	-0.22** (0.10)
Port		-0.56** (0.24)	-0.61** (0.25)
Intercept	-1.87*** (0.67)	10.33*** (0.54)	11.73*** (0.50)
AIC	42371.13	27106.50	26410.08
Log Likelihood	-21176.57	-13522.25	-13174.04
Observations	55245	51693	51675
Number of States	26	26	26
Number of Years	10	10	10
Variance (Zero Model): States (Intercept)	5.47	0.12	0.08
Variance (Zero Model): Years (Intercept)	0.06	0.10	0.06

This table presents the results of three multilevel zero-inflated negative binomial models. All models include random intercepts for state and year. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

B.2 Fixed Effects

As Table B.2 shows, the results are robust to replacing state- and year- random effects with fixed effects. However, fixed effects struggle with quasi-separation: some values of some independent variables predict the outcome almost perfectly, hence our preference for random effects.

Table B.2: The Effect of Political Alignment on FDI Transactions (State and Year Fixed Effects)

	FDI Transaction Count (1) All Transactions, All Municipalities
Political Alignment, t-1	0.22*** (0.08)
FDI Transaction Count, t-1	0.00*** (0.00)
Mayor Ideology, t-1	0.01 (0.05)
Mayoral Election, t-1	-0.43 (0.28)
Mayor Second Term, t-1	0.06 (0.05)
GDP (Log), t-1	0.61*** (0.03)
Population Density (Log), t-1	0.13*** (0.02)
STEM Workers, % (Log), t-1	0.25*** (0.03)
Manufacturing Workers, % (Log), t-1	-0.38*** (0.02)
Homicides per 100k (Log), t-1	-0.04 (0.03)
Airport	-0.02 (0.05)
Port	0.17** (0.08)
Intercept	-9.09*** (0.49)
AIC	26979.32
Log Likelihood	-13394.66
Observations	51693

This table presents the results of a zero-inflated negative binomial model with fixed effects for state and year. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

B.3 Poisson, Negative Binomial, and Hurdle Models

Since our outcome variable exhibits overdispersion and excess zeros, the main analysis favors zero-inflated negative binomial models. Table B.3 presents alternative specifications that support the main findings. The Poisson model suffers from numerical instability due to its inability to properly handle overdispersion or excess zeros. While the negative binomial model can account for overdispersion, it still struggles to model the excess zeros. The hurdle model offers an alternative approach by separating the zero-generating process from the count process, assuming that all zeros are generated by the first stage. In other words, it treats *all* municipalities as potentially “at risk” of receiving FDI if they cross the hurdle. We consider the zero-inflated negative binomial more appropriate for our data structure because it better matches the reality that some municipalities are structurally unlikely to ever attract FDI (structural zeros), while others are “in the game” but might have zero transactions in a given period (sampling zeros).

The Akaike information criterion (AIC) — which penalizes models for having more parameters — and the log-likelihood — which measures how well the model explains the observed data — allow us to systematically compare the relative fit of these models. A lower AIC value and a higher log-likelihood value indicate a better fit. By both metrics, the zero-inflated negative binomial model outperforms the other three models (though the hurdle model comes very close).

Table B.3: The Effect of Political Alignment on FDI Transactions (Poisson, Negative Binomial, and Hurdle)

	FDI Transaction Count		
	(1) All Transactions, All Municipalities, Poisson	(2) All Transactions, All Municipalities, Negative Binomial	(3) All Transactions, All Municipalities, Hurdle
Political Alignment, t-1	0.21*** (0.03)	0.14* (0.08)	0.18* (0.11)
FDI Transaction Count, t-1	0.00*** (0.00)	0.00*** (0.00)	0.00*** (0.00)
Mayor Ideology, t-1	0.20*** (0.02)	0.06 (0.05)	-0.01 (0.07)
Mayoral Election, t-1	-0.44*** (0.13)	-0.30* (0.18)	-0.12 (0.16)
Mayor Second Term, t-1	-0.04** (0.02)	0.03 (0.05)	0.06 (0.07)
GDP (Log), t-1	0.99*** (0.01)	1.01*** (0.02)	0.66*** (0.04)
Population Density (Log), t-1	0.13*** (0.01)	0.17*** (0.02)	0.13*** (0.03)
STEM Workers, % (Log), t-1	0.38*** (0.01)	0.04* (0.02)	0.24*** (0.04)
Manufacturing Workers, % (Log), t-1	-0.20*** (0.01)	-0.10*** (0.02)	-0.41*** (0.03)
Homicides per 100k (Log), t-1	-0.04*** (0.01)	0.05*** (0.02)	-0.03 (0.03)
Airport	0.09*** (0.02)	0.07 (0.05)	-0.03 (0.06)
Port	0.15*** (0.03)	0.26*** (0.09)	0.13 (0.10)
Intercept	-15.49*** (0.25)	-16.61*** (0.33)	-9.54*** (0.49)
AIC	36041.91	29213.20	27110.21
Log Likelihood	-18005.96	-14590.60	-13524.11
Observations	51693	51693	51693
Number of States	26	26	26
Number of Years	10	10	10
Variance: States (Intercept)	0.64	0.82	0.95
Variance: Years (Intercept)	0.18	0.12	0.06

This table presents the results of a multilevel Poisson model, a multilevel negative binomial model, and a multilevel hurdle model. All models include random intercepts for state and year. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

B.4 Alternative Sample: Only Municipalities That Received FDI

As Table B.4 shows, the results are robust to restricting the sample to municipalities that have *ever* received FDI and estimating a negative binomial model (without the zero-inflated component). Although the estimated effect of *Political Alignment* remains positive and statistically significant, restricting the sample introduces a selection on the outcome: it captures a qualitatively different phenomenon, since the excluded municipalities *would* be eligible for FDI (at least in theory). While the restricted-sample model is informative, our preferred specification is the zero-inflated negative binomial model, which uses the full sample and explicitly models the difference between attracting *no* investment (the zero stage) and attracting *any* investment (the count stage).

Table B.4: The Effect of Political Alignment on FDI Transactions (Restricted Sample)

	FDI Transaction Count (1) All Transactions, All Municipalities
Political Alignment, t-1	0.17** (0.08)
FDI Transaction Count, t-1	0.01*** (0.00)
Mayor Ideology, t-1	0.01 (0.05)
Mayoral Election, t-1	-0.19 (0.16)
Mayor Second Term, t-1	0.01 (0.05)
GDP (Log), t-1	0.59*** (0.02)
Population Density (Log), t-1	0.16*** (0.02)
STEM Workers, % (Log), t-1	0.19*** (0.03)
Manufacturing Workers, % (Log), t-1	-0.24*** (0.02)
Homicides per 100k (Log), t-1	-0.04** (0.02)
Airport	-0.01 (0.04)
Port	0.30*** (0.08)
Intercept	-9.08*** (0.31)
AIC	24109.06
Log Likelihood	-12038.53
Observations	11141
Number of States	26
Number of Years	10
Variance: States (Intercept)	0.42
Variance: Years (Intercept)	0.08

This table presents the results of a multilevel zero-inflated negative binomial model with random intercepts for state and year.

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

B.5 Delayed Effects: Longer Lags of Political Alignment

The main models use *Political Alignment* at time $t - 1$. The results are robust to using political alignment at times $t - 2$ and $t - 3$, as Table B.5 shows.

Table B.5: The Effect of Political Alignment on FDI Transactions (Longer Lags for Alignment)

	FDI Transaction Count	
	(1) All Transactions, All Municipalities	(2) All Transactions, All Municipalities
Political Alignment, t-2	0.31*** (0.08)	
Political Alignment, t-3		0.19** (0.09)
FDI Transaction Count, t-1	0.00*** (0.00)	0.00*** (0.00)
Mayor Ideology, t-1	0.05 (0.06)	0.09 (0.06)
Mayoral Election, t-1	-0.16 (0.16)	-0.25 (0.15)
Mayor Second Term, t-1	0.06 (0.05)	0.08 (0.05)
GDP (Log), t-1	0.57*** (0.03)	0.54*** (0.03)
Population Density (Log), t-1	0.15*** (0.02)	0.16*** (0.02)
STEM Workers, % (Log), t-1	0.26*** (0.03)	0.28*** (0.04)
Manufacturing Workers, % (Log), t-1	-0.39*** (0.02)	-0.39*** (0.03)
Homicides per 100k (Log), t-1	-0.04 (0.03)	-0.03 (0.03)
Airport	-0.01 (0.05)	0.03 (0.05)
Port	0.17** (0.08)	0.19** (0.08)
Intercept	-8.23*** (0.41)	-7.86*** (0.42)
AIC	24212.44	21453.60
Log Likelihood	-12075.22	-10695.80
Observations	46767	41852
Number of States	26	26
Number of Years	9	8
Variance: States(Intercept)	0.69	0.68
Variance: Years (Intercept)	0.06	0.05

This table presents the results of two multilevel zero-inflated negative binomial models. All models include random intercepts for state and year. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

B.6 Alternative Measures of Political Alignment

Table B.6 presents two dichotomous measures of political alignment. In Model 1, *Political Alignment (90%)* takes the value of 1 if the voting recommendation issued by the mayor's party leadership aligns with the voting recommendation of the president at least 90 percent of the time. In Model 2, *Political Alignment (80%)* applies a less strict threshold of 80 percent. The weaker effects suggest that alignment only matters substantively and significantly after a certain threshold. Since 90 and 80 percent are arbitrary thresholds, we opted to use the continuous measure in the main text.

Table B.6: The Effect of Political Alignment on FDI Transactions (Different Alignment Measures)

	FDI Transaction Count	
	(1)	(2)
	All Transactions, All Municipalities	All Transactions, All Municipalities
Political Alignment (90%), t-1	0.09* (0.05)	
Political Alignment (80%), t-1		0.07 (0.05)
FDI Transaction Count, t-1	0.00*** (0.00)	0.00*** (0.00)
Mayor Ideology, t-1	0.02 (0.05)	0.02 (0.05)
Mayoral Election, t-1	-0.19 (0.16)	-0.19 (0.15)
Mayor Second Term, t-1	0.06 (0.05)	0.06 (0.05)
GDP (Log), t-1	0.59*** (0.03)	0.59*** (0.03)
Population Density (Log), t-1	0.15*** (0.02)	0.15*** (0.02)
STEM Workers, % (Log), t-1	0.24*** (0.03)	0.24*** (0.03)
Manufacturing Workers, % (Log), t-1	-0.38*** (0.02)	-0.38*** (0.02)
Homicides per 100k (Log), t-1	-0.04 (0.03)	-0.04 (0.03)
Airport	-0.01 (0.05)	-0.01 (0.05)
Port	0.18** (0.08)	0.18** (0.08)
Intercept	-8.36*** (0.39)	-8.36*** (0.39)
AIC	27107.69	27110.12
Log Likelihood	-13522.85	-13524.06
Observations	51693	51693
Number of States	26	26
Number of Years	10	10
Variance: States (Intercept)	0.70	0.70
Variance: Years (Intercept)	0.07	0.06

This table presents the results of two multilevel zero-inflated negative binomial models. All models include random intercepts for state and year. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

B.7 Presidency Fixed Effects

Table B.7: The Effect of Political Alignment on FDI Transactions (Presidency Fixed Effects)

	FDI Transaction Count (1) All Transactions, All Municipalities
Political Alignment, t-1	0.21** (0.08)
President: Temer, t-1	-0.38*** (0.07)
President: Bolsonaro, t-1	-0.53*** (0.09)
FDI Transaction Count, t-1	0.00*** (0.00)
Mayor Ideology, t-1	0.01 (0.05)
Mayoral Election, t-1	0.02 (0.07)
Mayor Second Term, t-1	0.05 (0.05)
GDP (Log), t-1	0.59*** (0.03)
Population Density (Log), t-1	0.15*** (0.02)
STEM Workers, % (Log), t-1	0.25*** (0.03)
Manufacturing Workers, % (Log), t-1	-0.38*** (0.02)
Homicides per 100k (Log), t-1	-0.04 (0.03)
Airport	-0.01 (0.05)
Port	0.18** (0.08)
Intercept	-8.32*** (0.38)
AIC	27096.04
Log Likelihood	-13513.02
Observations	51693
Number of States	26
Number of Years	10
Variance: States (Intercept)	0.69
Variance: Years (Intercept)	0.01

This table presents the results of a multilevel zero-inflated negative binomial model with random intercepts for state and year.

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

To address the concern that our results may be driven by differences across presidential administrations, Table B.7 includes dummies for the presidents in office during the period of study: Dilma Rousseff (2012–2015, reference category), Michel Temer (2016–2018), and Jair Bolsonaro (2019–2021).¹ The effect of *Political Alignment* is robust to the inclusion of these indicators, which absorb administration-specific shocks or unobserved factors that could influence FDI flows (such as changes in macroeconomic conditions, foreign policy, or investment promotion strategies). The Temer and Bolsonaro administrations attracted significantly fewer transactions than the Rousseff administration (the reference category).

¹Michel Temer was the president for most of 2016: though he only officially took office in August, he was acting president since May.

B.8 Interacting Political Alignment With Margin of Victory

Table B.8: The Effect of Political Alignment on FDI Transactions (Interaction With Margin of Victory)

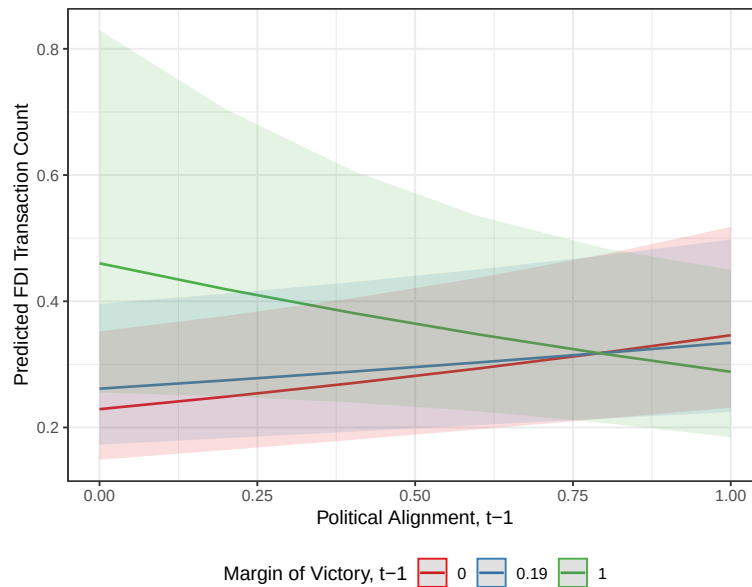
	FDI Transaction Count (1) All Transactions, All Municipalities
Political Alignment, t-1	0.41*** (0.12)
Margin of Victory, t-1	0.70** (0.27)
Alignment $\times$ Margin of Victory, t-1	-0.88** (0.35)
FDI Transaction Count, t-1	0.00*** (0.00)
Mayor Ideology, t-1	0.01 (0.05)
Mayoral Election, t-1	-0.22 (0.16)
Mayor Second Term, t-1	0.05 (0.05)
GDP (Log), t-1	0.58*** (0.03)
Population Density (Log), t-1	0.15*** (0.02)
STEM Workers, % (Log), t-1	0.25*** (0.03)
Manufacturing Workers, % (Log), t-1	-0.38*** (0.02)
Homicides per 100k (Log), t-1	-0.03 (0.03)
Airport	-0.01 (0.05)
Port	0.19** (0.08)
Intercept	-8.56*** (0.39)
AIC	27062.50
Log Likelihood	-13496.25
Observations	51670
Number of States	26
Number of Years	10
Variance: States (Intercept)	0.69
Variance: Years (Intercept)	0.07

This table presents the results of a multilevel zero-inflated negative binomial model with random intercepts for state and year.

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

Table B.8 interacts *Political Alignment* and *Margin of Victory*, the difference in vote share between the winner and the runner-up in the mayoral election. Figure B.1 plots the corresponding marginal effects. Consistent with the RDD, the estimates indicate that higher alignment is associated with greater FDI inflows when victory margins are narrow. However, as margins widen, the effect of alignment declines.

Figure B.1: The Predicted Effect of *Political Alignment* on FDI Transaction Count at Minimum, Mean, and Maximum Values of *Margin of Victory*



This figure shows the predicted effect of *Political Alignment* on FDI transaction counts evaluated at the minimum, mean, and maximum values of *Margin of Victory*.

B.9 Controlling for MPs' Municipal Ties

We know MPs' municipalities of birth (available from public election records) and the municipalities where they are registered to vote (obtained through a Freedom of Information request). Table B.9 re-estimates our main model using these measures, both as dummy variables (indicating whether at least one MP was born or is registered in the municipality) and as counts (the number of MPs born or registered there). The effect of *Political Alignment* is robust to the inclusion of these variables.

Table B.9: The Effect of Political Alignment on FDI Transactions (Municipal Ties)

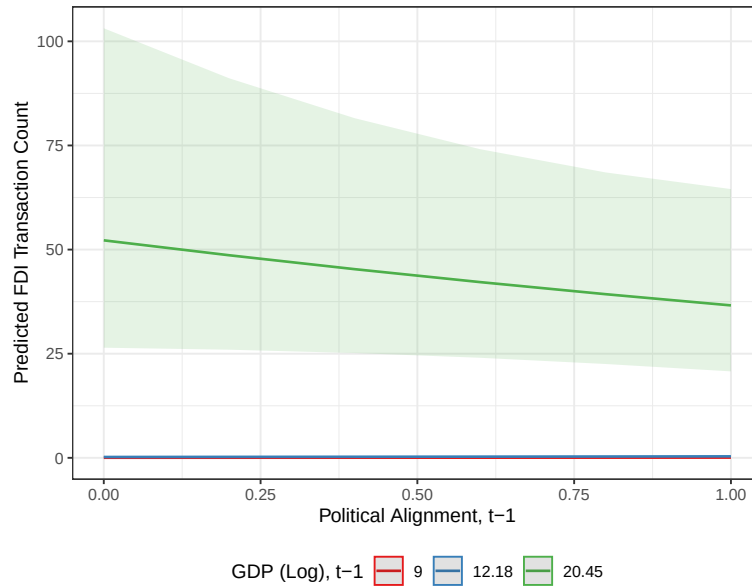
	FDI Transaction Count			
	(1) All Transactions, All Municipalities	(2) All Transactions, All Municipalities	(3) All Transactions, All Municipalities	(4) All Transactions, All Municipalities
Political Alignment, t-1	0.20** (0.08)	0.20** (0.08)	0.20** (0.08)	0.21** (0.08)
MP Born in Municipality = 1, t-1	-0.11* (0.06)			
MP Born in Municipality (Count), t-1		0.02*** (0.01)		
MP Registered in Municipality = 1, t-1			0.07 (0.06)	
MP Registered in Municipality (Count), t-1				0.03*** (0.01)
FDI Transaction Count, t-1	0.00*** (0.00)	0.00*** (0.00)	0.00*** (0.00)	0.00*** (0.00)
Mayor Ideology, t-1	0.01 (0.05)	0.01 (0.05)	0.01 (0.05)	0.01 (0.05)
Mayoral Election, t-1	-0.20 (0.16)	-0.18 (0.15)	-0.19 (0.15)	-0.18 (0.15)
Mayor Second Term, t-1	0.06 (0.05)	0.05 (0.05)	0.06 (0.05)	0.05 (0.05)
GDP (Log), t-1	0.60*** (0.03)	0.58*** (0.03)	0.58*** (0.03)	0.57*** (0.03)
Population Density (Log), t-1	0.15*** (0.02)	0.13*** (0.02)	0.14*** (0.02)	0.13*** (0.02)
STEM Workers, % (Log), t-1	0.25*** (0.03)	0.25*** (0.03)	0.24*** (0.03)	0.25*** (0.03)
Manufacturing Workers, % (Log), t-1	-0.39*** (0.02)	-0.37*** (0.02)	-0.37*** (0.02)	-0.37*** (0.02)
Homicides per 100k (Log), t-1	-0.04 (0.03)	-0.03 (0.03)	-0.03 (0.02)	-0.03 (0.03)
Airport	0.00 (0.05)	-0.04 (0.05)	-0.02 (0.05)	-0.04 (0.05)
Port	0.20*** (0.08)	0.12 (0.08)	0.18** (0.08)	0.14* (0.08)
Intercept	-8.62*** (0.40)	-8.34*** (0.39)	-8.32*** (0.41)	-8.28*** (0.40)
AIC	27104.48	27100.67	27108.79	27099.53
Log Likelihood	-13519.24	-13517.33	-13521.40	-13516.76
Observations	51693	51693	51693	51693
Number of States	26	26	26	26
Number of Years	10	10	10	10
Variance: States (Intercept)	0.68	0.71	0.70	0.73
Variance: Years (Intercept)	0.07	0.06	0.06	0.06

This table presents the results of four multilevel zero-inflated negative binomial models. All models include random intercepts for state and year. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

B.10 Interacting Political Alignment With Economic Fundamentals

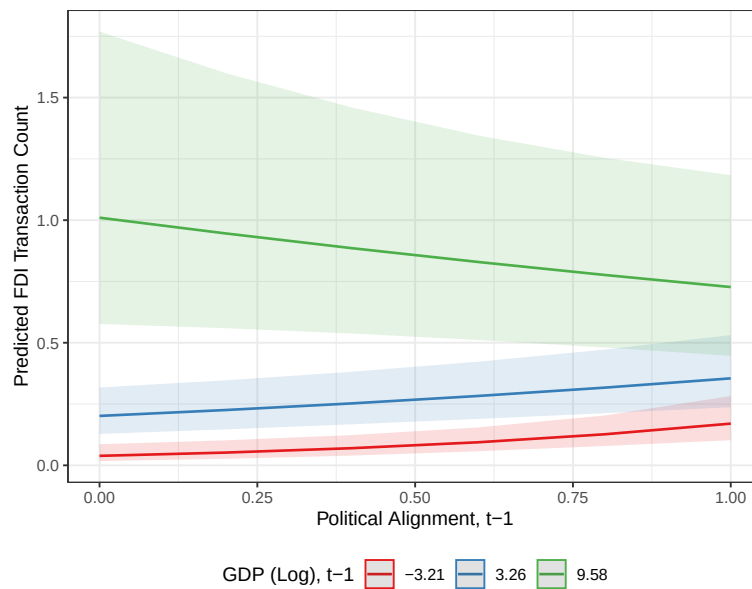
Table B.10 interacts *Political Alignment* with two core indicators that summarize a municipality's underlying attractiveness: log GDP and log population density. Figures B.2 and B.3 illustrate the results. In both specifications, the coefficients on the interaction terms are negative and statistically significant. This means that the positive effect of political alignment on FDI is strongest in municipalities with weaker fundamentals and gradually diminishes as GDP or population density increases. In other words, alignment provides greater visibility and credibility where underlying economic fundamentals are weaker, which is consistent with our argument.

Figure B.2: The Predicted Effect of *Political Alignment* on FDI Transaction Count at Minimum, Mean, and Maximum Values of *GDP (Log)*



This figure shows the predicted effect of *Political Alignment* on FDI transaction counts evaluated at the minimum, mean, and maximum values of *GDP (Log)*.

Figure B.3: The Predicted Effect of *Political Alignment* on FDI Transaction Count at Minimum, Mean, and Maximum Values of *Population Density (Log)*



This figure shows the predicted effect of *Political Alignment* on FDI transaction counts evaluated at the minimum, mean, and maximum values of *Population Density (Log)*.

Table B.10: The Effect of Political Alignment on FDI Transactions (Interactions With Economic Fundamentals)

	FDI Transaction Count	
	(1) All Transactions, All Municipalities	(2) All Transactions, All Municipalities
Political Alignment, t-1	1.88*** (0.73)	1.03*** (0.28)
GDP (Log), t-1	0.67*** (0.05)	0.59*** (0.03)
Political Alignment $\times$ GDP (Log), t-1	-0.11** (0.05)	
Population Density (Log), t-1	0.15*** (0.02)	0.26*** (0.04)
Political Alignment $\times$ Population Density (Log), t-1		-0.14*** (0.05)
FDI Transaction Count, t-1	0.00*** (0.00)	0.00*** (0.00)
Mayor Ideology, t-1	0.01 (0.05)	0.00 (0.05)
Mayoral Election, t-1	-0.19 (0.15)	-0.19 (0.15)
Mayor Second Term, t-1	0.06 (0.05)	0.06 (0.05)
STEM Workers, % (Log), t-1	0.25*** (0.03)	0.25*** (0.03)
Manufacturing Workers, % (Log), t-1	-0.38*** (0.02)	-0.38*** (0.02)
Homicides per 100k (Log), t-1	-0.04 (0.03)	-0.04 (0.02)
Airport	-0.01 (0.05)	-0.01 (0.05)
Port	0.18** (0.08)	0.17** (0.08)
Intercept	-9.74*** (0.68)	-9.08*** (0.44)
AIC	27104.15	27099.26
Log Likelihood	-13519.07	-13516.63
Observations	51693	51693
Number of States	26	26
Number of Years	10	10
Variance: States (Intercept)	0.70	0.71
Variance: Years (Intercept)	0.06	0.07

This table presents the results of two multilevel zero-inflated negative binomial models. All models include random intercepts for state and year. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

B.11 Excluding Controls for Manufacturing and STEM Workers

It is plausible that manufacturing-oriented municipalities receive fewer but higher-value investments, while municipalities with a higher concentration of STEM workers attract a larger number of smaller transactions. Consistent with this interpretation, manufacturing accounts for only 11.8 percent of all transactions in our data, whereas sectors that employ STEM occupations intensively (such as Professional, Scientific, and Technical Activities and Financial and Insurance Activities) together account for about 30 percent.

This interpretation is reinforced by the definition of the STEM variable, which includes engineers, computer scientists, physicists, chemists, and related occupations commonly employed in financial- and technology-oriented FDI in Brazil. Importantly, our core results are not driven by these controls: when we exclude both manufacturing share and STEM share from the main specification (Table B.11), the estimated effect of political alignment remains positive and substantively similar.

Table B.11: The Effect of Political Alignment on FDI Transactions (Removing Controls for Manufacturing and STEM Workers)

	FDI Transaction Count (1) All Transactions, All Municipalities
Political Alignment, t-1	0.16* (0.09)
FDI Transaction Count, t-1	0.01*** (0.00)
Mayor Ideology, t-1	0.03 (0.06)
Mayoral Election, t-1	-0.16 (0.14)
Mayor Second Term, t-1	-0.04 (0.06)
GDP (Log), t-1	0.63*** (0.03)
Population Density (Log), t-1	0.17*** (0.02)
Homicides per 100k (Log), t-1	-0.07** (0.03)
Airport	0.11** (0.05)
Port	0.40*** (0.08)
Intercept	-10.16*** (0.37)
AIC	27410.35
Log Likelihood	-13678.17
Observations	51693
Number of States	26
Number of Years	10
Variance: States (Intercept)	0.80
Variance: Years (Intercept)	0.04

This table presents the results of a multilevel zero-inflated negative binomial model with random intercepts for state and year. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

B.12 Testing for Reverse Causality

Table B.12 presents a reverse causality test estimating whether lagged FDI transactions predict subsequent political alignment, using the same multilevel specification as the main models but with *Political Alignment* as the outcome and a gaussian family. If FDI attraction were to drive alignment (for instance, because economically successful mayors are better positioned to join or maintain membership in the national governing coalition), we would expect a positive and significant coefficient on lagged FDI. The results show no such evidence: the coefficient of *FDI Transaction Count* at $t - 1$ is indistinguishable from zero. This pattern is consistent with our theoretical argument that alignment shapes FDI attraction, rather than the reverse.

Table B.12: The Effect of FDI Transactions on Political Alignment

	Political Alignment (1)
FDI Transaction Count, t-1	0.00 (0.00)
Mayor Ideology, t-1	0.20*** (0.00)
Mayoral Election, t-1	0.01 (0.01)
Mayor Second Term, t-1	-0.01** (0.00)
GDP (Log), t-1	0.00*** (0.00)
Population Density (Log), t-1	0.00 (0.00)
STEM Workers, % (Log), t-1	-0.00 (0.00)
Manufacturing Workers, % (Log), t-1	0.00 (0.00)
Homicides per 100k (Log), t-1	-0.00* (0.00)
Airport	-0.00 (0.00)
Port	-0.02** (0.01)
Intercept	0.71*** (0.02)
AIC	-13415.06
Log Likelihood	6722.53
Observations	51576
Number of States	26
Number of Years	10
Variance: States (Intercept)	0.00
Variance: Years (Intercept)	0.00

This table presents the results of a multilevel linear model with random intercepts for state and year. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

B.13 Alternative Dependent Variable: Transaction Frequency

Our main analysis considers only the first annual transfer from each foreign investor to a domestic firm, in order to avoid artificially inflating FDI activity from transfers that may be split for fiscal or administrative reasons, and treats investments by multiple foreign partners in the same domestic firm and year as a single transaction. We re-estimate our main models using the total number of transactions (45,337) as an alternative measure, which relaxes both simplifications: it counts every transfer, including repeated transfers from the same investor and transfers from each foreign partner separately. Results remain robust.

Table B.13: The Effect of Political Alignment on FDI Transactions (Considering the Total Number of Transactions per Investor-Recipient Firm-Year)

	FDI Transaction Count (Non-Unique)		
	(1) All Transactions, All Municipalities	(2) All Transactions, All Municipalities	(3) All Transactions, Excl. RJ and SP
Political Alignment, t-1	0.51*** (0.15)	0.20** (0.09)	0.17** (0.08)
FDI Transaction Count, t-1		0.00*** (0.00)	0.04*** (0.00)
Mayor Ideology, t-1		-0.00 (0.06)	-0.06 (0.05)
Mayor Second Term, t-1		0.07 (0.06)	0.06 (0.05)
GDP (Log), t-1		0.51*** (0.03)	0.38*** (0.03)
Population Density (Log), t-1		0.12*** (0.02)	0.08*** (0.02)
STEM Workers, % (Log), t-1		0.22*** (0.03)	0.16*** (0.03)
Manufacturing Workers, % (Log), t-1		-0.36*** (0.02)	-0.24*** (0.02)
Homicides per 100k (Log), t-1		-0.03 (0.02)	-0.01 (0.02)
Intercept	-1.28*** (0.26)	-6.78*** (0.38)	-5.05*** (0.35)
AIC	44763.86	29851.79	29141.08
Log Likelihood	-22372.93	-14894.90	-14539.54
Observations	55245	51693	51675
Number of States	26	26	26
Number of Years	10	10	10
Variance: States (Intercept)	1.16	0.59	0.32
Variance: Years (Intercept)	0.02	0.09	0.09

This table presents the results of three multilevel linear models with random intercepts for state and year. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

B.14 Alternative Dependent Variable: Cumulative Transactions

We re-estimate our main models using a dependent variable that counts FDI transactions cumulatively within each mayor's four-year term. Results remain robust.

Table B.14: The Effect of Political Alignment on FDI Transactions (Cumulative Transactions Within Mayoral Term)

	FDI Transaction Count (Cumulative Within Mayoral Term)		
	(1) All Transactions, All Municipalities	(2) All Transactions, All Municipalities	(3) All Transactions, Excl. RJ and SP
Political Alignment, t-1	0.43*** (0.12)	0.22*** (0.08)	0.19** (0.08)
Mayor Ideology, t-1		0.03 (0.05)	0.03 (0.05)
Mayoral Election, t-1		-0.62*** (0.20)	-0.58*** (0.20)
Mayor Second Term, t-1		0.11** (0.05)	0.10** (0.05)
GDP (Log), t-1		0.77*** (0.02)	0.69*** (0.02)
Population Density (Log), t-1		0.16*** (0.02)	0.16*** (0.02)
STEM Workers, % (Log), t-1		0.21*** (0.03)	0.24*** (0.03)
Manufacturing Workers, % (Log), t-1		-0.35*** (0.02)	-0.33*** (0.02)
Homicides per 100k (Log), t-1		-0.05** (0.02)	-0.01 (0.02)
Airport		-0.08* (0.05)	-0.07 (0.05)
Port		0.29*** (0.08)	0.23*** (0.07)
Intercept	-0.98*** (0.30)	-10.67*** (0.39)	-9.64*** (0.40)
AIC	63083.20	43746.95	43328.28
Log Likelihood	-31532.60	-21844.47	-21635.14
Observations	55245	51693	51675
Number of States	26	26	26
Number of Years	10	10	10
Variance: States (Intercept)	1.57	0.90	0.82
Variance: Years (Intercept)	0.22	0.33	0.31

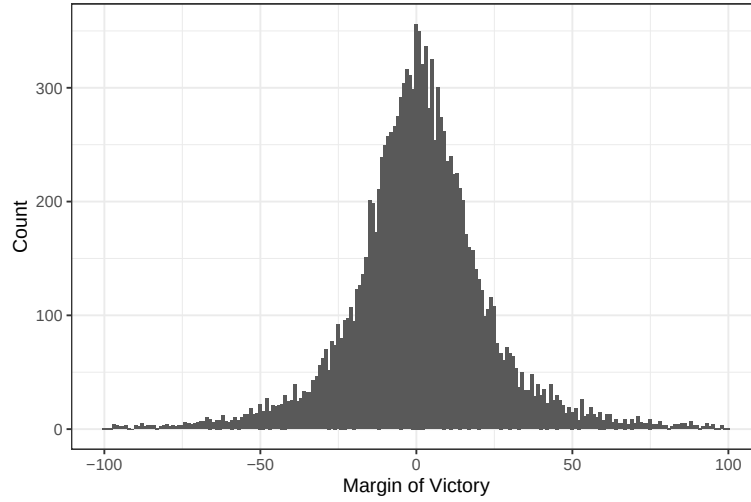
This table presents the results of three multilevel linear models with random intercepts for state and year. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

C Evidence From Close Elections: Continuity Assumption

C.1 Running Variable

First, we plot the running variable — *Margin of Victory* — to check for any significant discontinuity in its density, supporting the assumption that treatment assignment is as-if random near the threshold. Note that we have “mass points:” unless a special election occurs (which is rare), the same margin of victory appears four times, corresponding to the four years of a mayor's term. In generating the plot below, we cluster the running variable by municipality and election cycle to avoid artificially inflating the density at specific points.

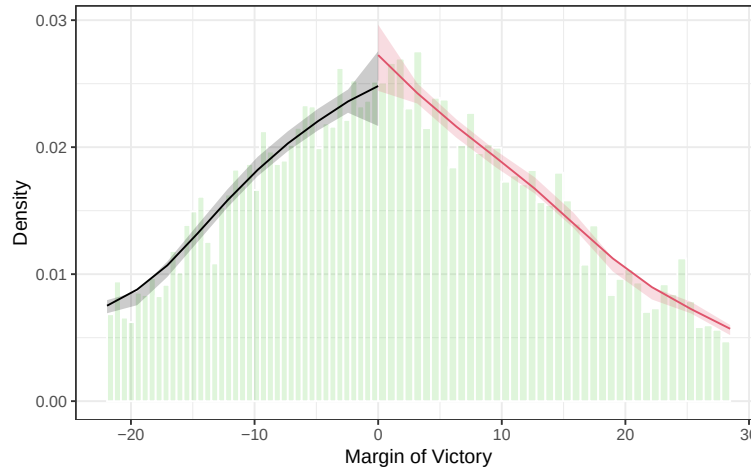
Figure C.1: Distribution of the Running Variable



This figure shows the distribution of the running variable (*Margin of Victory*), clustered by municipality and election cycle.

We also perform the McCrary discontinuity test (McCrary 2008). However, this test assumes independent observations. Mass points violate this assumption, potentially biasing the test results. As Figure C.2 shows, the McCrary test detects no statistically significant discontinuity ($p = 0.2344$). To further assess potential manipulation, we rely on covariate balance tests, which are more robust to mass points.

Figure C.2: McCrary Discontinuity Test



This figure plots the density of the running variable (*Margin of Victory*) around the cutoff at zero, clustered by municipality and election cycle. The McCrary test detects no statistically significant discontinuity ($p = 0.2344$). Given the presence of mass points, our data violate the assumptions of the McCrary test, which is why we conduct covariate balance tests to further assess potential manipulation.

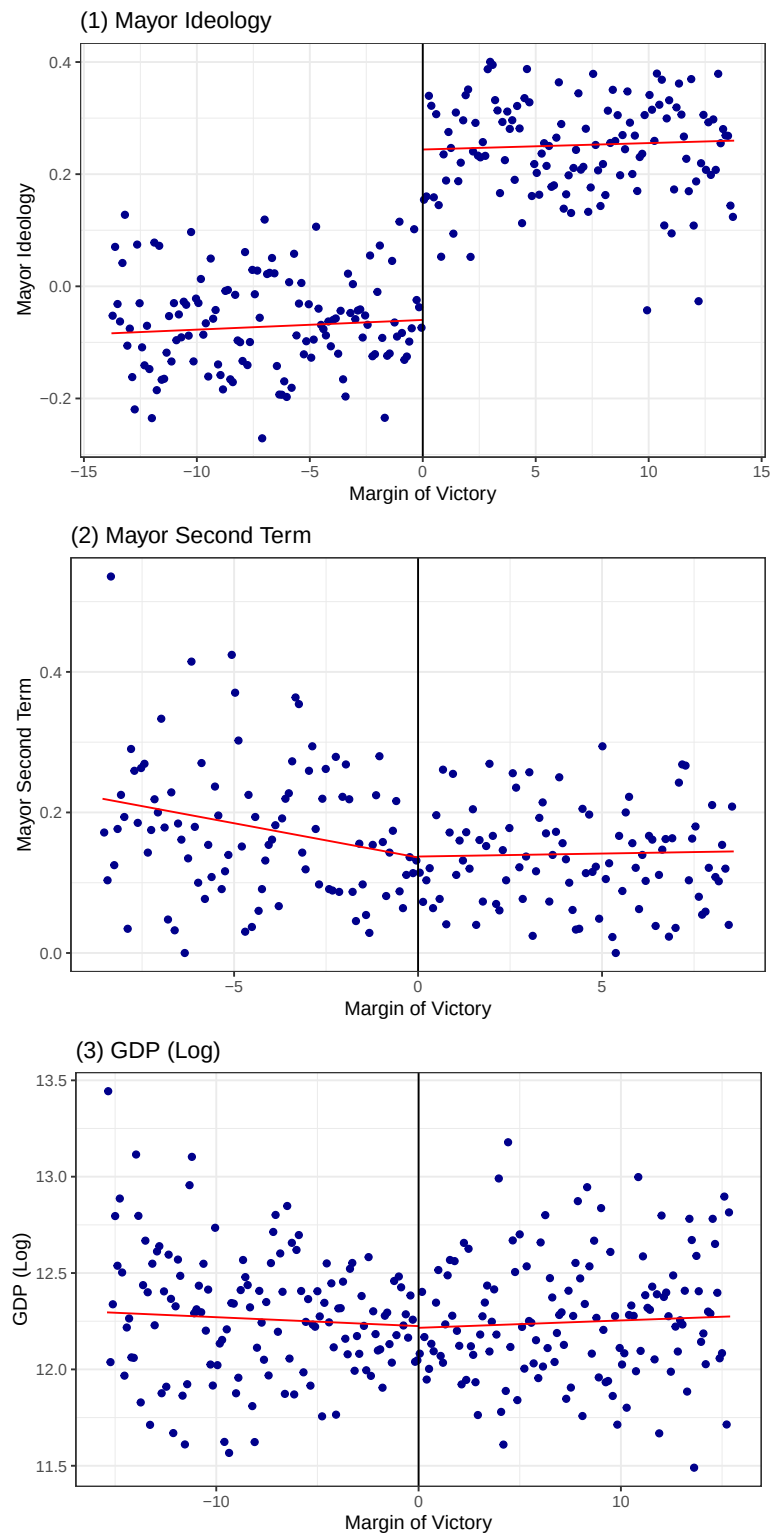
C.2 Covariate Balance Tests

Second, we examine whether the pre-treatment covariates are similar on either side of the threshold. Ideally, these covariates should not change discontinuously at the threshold: the treatment and control groups should be comparable, and the only change should be the treatment itself.

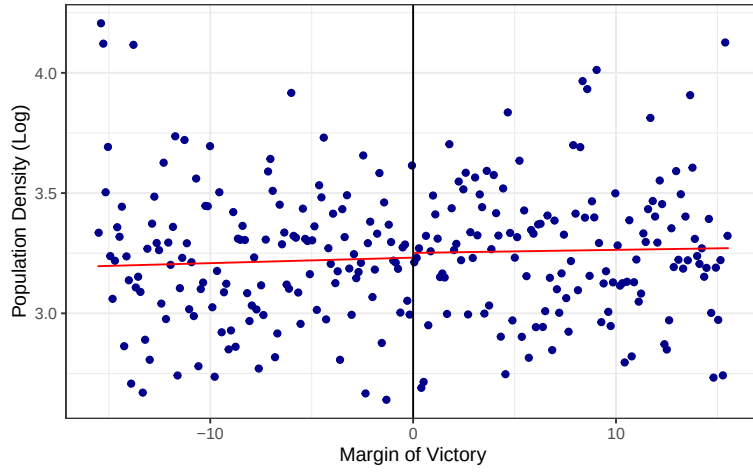
To test for this, we use the R package *rdrobust* (Calonico et al. 2015) to estimate models with each pre-treatment covariate as a dependent variable, clustering the standard errors by municipality and election cycle.

We begin with a visual inspection of the relationship between *Margin of Victory* and each pre-treatment covariate. These are the same covariates used in the multilevel models, except for *Political Alignment* (the treatment variable) and *Mayoral Election* (which is part of the treatment context). In Figure C.3, each panel only includes observations within the optimal bandwidth selected by *rdrobust*, which is the bandwidth that minimizes the mean squared error (MSE) of the estimated treatment effect at the cutoff. Each panel uses evenly-spaced partitioning and a linear fit. The underlying estimates use a triangular kernel that weighs observations as a function of their distance from the cutoff. We group the two time-invariant variables (*Airport* and *Port*) by municipality and election cycle to avoid distortions.

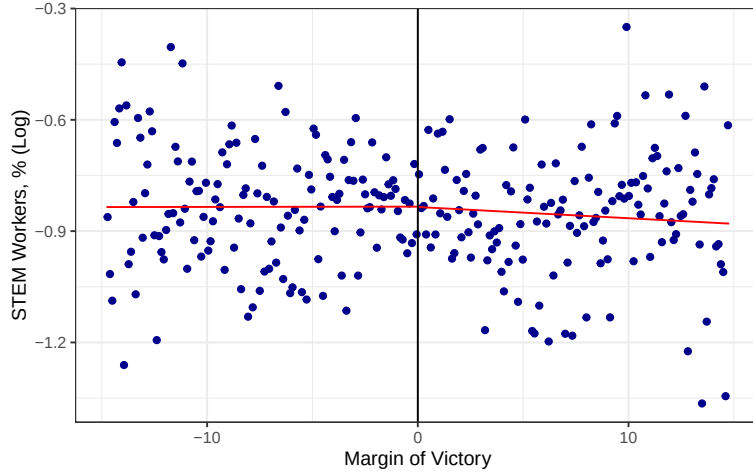
Figure C.3: The Effect of Political Alignment on Pre-Treatment Covariates



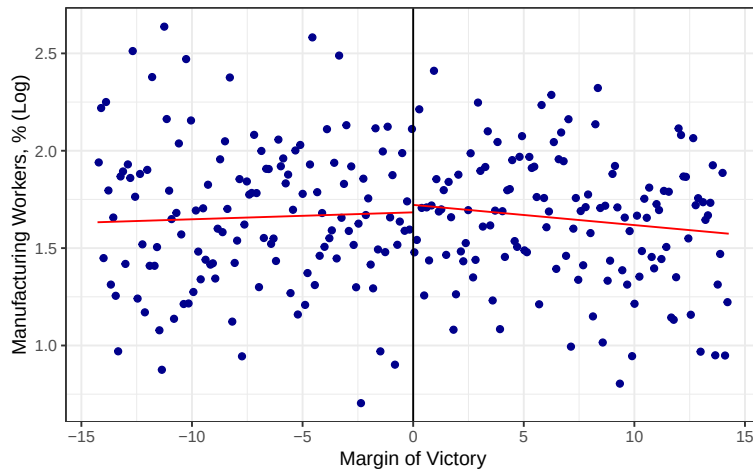
(4) Population Density (Log)

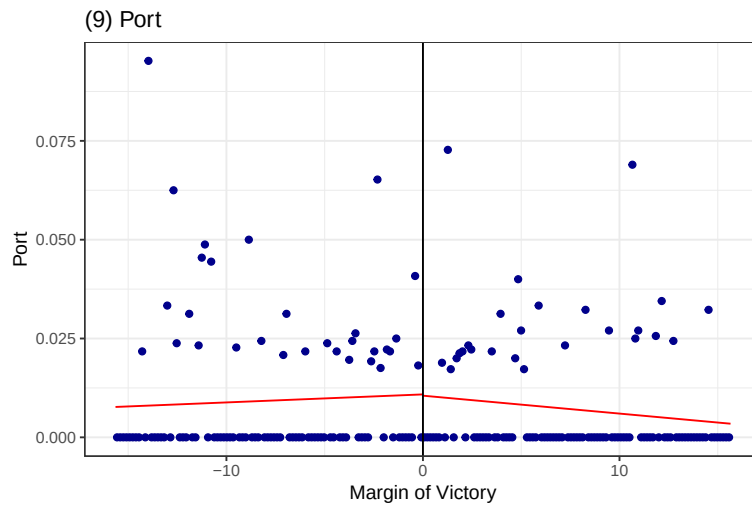
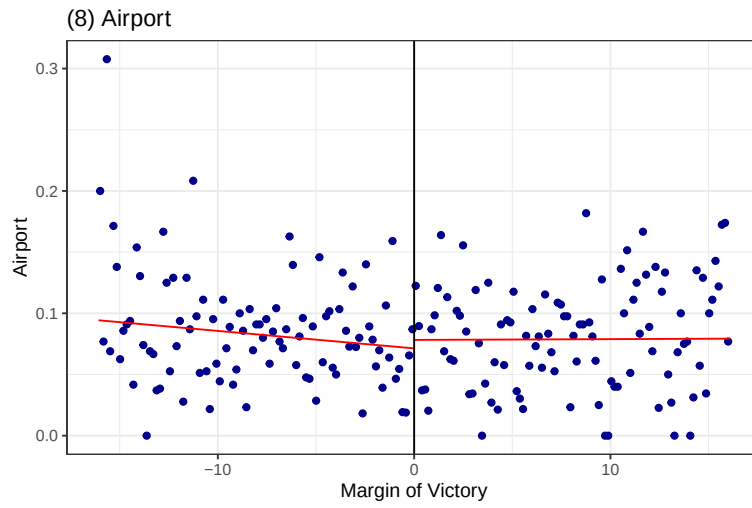
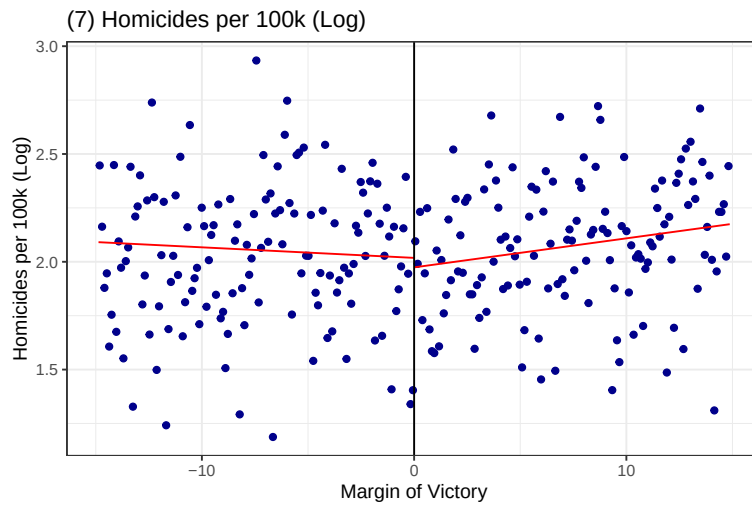


(5) STEM Workers, % (Log)



(6) Manufacturing Workers, % (Log)





Each panel of this figure shows the relationship between the variable in question and the margin of victory for the aligned candidate, using evenly-spaced bins (the blue dots) and a linear fit (the red line). The figure only includes observations within the optimal bandwidth selected by *rdrobust*, which minimizes the mean squared error (MSE) of the estimated treatment effect at the cutoff.

A visual inspection suggests that most variables are balanced, with one exception: *Mayor Ideology*. As Table C.1 confirms, an aligned mayor who barely wins is significantly more conservative (i.e., has a larger value of *Mayor Ideology*) than an aligned mayor who barely loses ($p = 0.000$). This imbalance could affect the validity of the RDD, as it violates the assumption that pre-treatment characteristics are independent of treatment assignment.

Table C.1: The Effect of Political Alignment on Pre-Treatment Covariates

	Mayor Ideology (1)	Mayor Second Term (2)	GDP (Log) (3)	Population Density (Log) (4)	STEM Workers, % (Log) (5)
Political Alignment	0.30*** (0.00)	0.01 (0.65)	0.00 (1.00)	0.02 (0.76)	0.01 (0.85)
Bandwidth (MSE)	13.79	8.58	15.40	15.56	14.78
Eff. Observations (Left)	5287	3633	5738	5769	5569
Eff. Observations (Right)	5641	3831	6156	6218	5974

	Manufacturing Workers, % (Log) (6)	Homicides per 100k (Log) (7)	Airport (8)	Port (9)
Political Alignment	0.05 (0.48)	-0.06 (0.34)	0.01 (0.51)	0.00 (0.99)
Bandwidth (MSE)	14.27	14.88	16.08	15.65
Eff. Observations (Left)	5396	5586	3924	3862
Eff. Observations (Right)	5796	6001	4151	4080

This table presents the results of nine regression discontinuity models with robust p-values. All models cluster standard errors by municipality and election cycle.

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

To address this imbalance, our RDD (reported in the main text) adjusts for *Mayor Ideology*. Still, we recognize the limitations of our model. Adjusting for this variable does not fully address the concern that the treatment is not as good as random. Though our models account for observable differences, unobserved confounders correlated with ideology could still pose a problem, hence the importance of using qualitative evidence to ameliorate these concerns.

C.3 Alternative Bandwidths

When choosing a bandwidth, the challenge is to minimize bias while controlling for variance. The bandwidth should be narrow enough to provide precise estimates (as observations that are too far from the cutoff might not reflect the local treatment effect around the cutoff), but not so narrow that the estimates are sensitive to noise (because they rely on few observations).

Our main models use *mserd*, the default optimal bandwidth selection process in *rdrobust*, to balance bias and variance. This selection process calculates a single common bandwidth for both sides of the cutoff. Tables C.2, C.3, and C.4 present the results with MSE-minimizing bandwidths selected using alternative procedures: an asymmetric selector (*mse2*) that allows the bandwidth to differ on either side of the threshold; and three sum/combination selectors (*msesum*, *msecomb1*, *msecomb2*) that use different weighting schemes for the bias and variance components (such as picking the minimum or median of multiple MSE-optimal candidates) to ensure the selected window is robust to outliers. Calonico et al. (2019) describe these selection procedures in more detail.

Table C.2: The Effect of Political Alignment on All FDI Transactions, Alternative Bandwidths

	FDI Transaction Count				
	(1) mserd	(2) mse2	(3) msesum	(4) msecomb1	(5) msecomb2
Political Alignment	0.08* (0.09)	0.12** (0.02)	0.14** (0.01)	0.08* (0.09)	0.14** (0.01)
Mayor Ideology (Pt. Estim.)	0.01	-0.02	0.00	0.01	0.00
Bandwidth (MSE)	3.32	5.35	3.77	3.32	3.77
Eff. Observations (Left)	1534	2354	1712	1534	1712
Eff. Observations (Right)	1654	2819	1857	1654	1857

This table presents the results of ten regression discontinuity models with robust p-values. All models cluster standard errors by municipality and election cycle. All models adjust for the covariate *Mayor Ideology*, which can lead to efficiency gains, though its point estimate has no substantive meaning (Calonico et al. 2019). Model 1 is the default bandwidth used in the main text. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

Table C.3: The Effect of Political Alignment on FDI Transactions in Goods and Services, Alternative Bandwidths

	FDI Transaction Count				
	(1) mserd	(2) mse2	(3) msesum	(4) msecomb1	(5) msecomb2
Political Alignment	0.08** (0.03)	0.08* (0.06)	0.10** (0.01)	0.10** (0.01)	0.09** (0.03)
Mayor Ideology (Pt. Estim.)	0.00	0.00	0.01	0.01	0.00
Bandwidth (MSE)	5.60	5.92	4.62	4.62	5.60
Eff. Observations (Left)	2463	2595	2074	2074	2463
Eff. Observations (Right)	2648	2484	2205	2205	2484

This table presents the results of five regression discontinuity models with robust p-values. All models cluster standard errors by municipality and election cycle. All models adjust for the covariate *Mayor Ideology*, which can lead to efficiency gains, though its point estimate has no substantive meaning (Calonico et al. 2019). Model 1 is the default bandwidth used in the main text. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

Table C.4: The Effect of Political Alignment on FDI Transactions in Greenfield Investment, Alternative Bandwidths

	FDI Transaction Count				
	(1) mserd	(2) mse2	(3) msesum	(4) msecomb1	(5) msecomb2
Political Alignment	0.05** (0.03)	0.05** (0.04)	0.06** (0.02)	0.06** (0.03)	0.06** (0.03)
Mayor Ideology (Pt. Estim.)	-0.01	-0.02	-0.02	-0.01	-0.02
Bandwidth (MSE)	4.97	6.22	5.17	4.97	5.17
Eff. Observations (Left)	2205	2741	2285	2205	2285
Eff. Observations (Right)	2380	2897	2481	2380	2481

This table presents the results of five regression discontinuity models with robust p-values. All models cluster standard errors by municipality and election cycle. All models adjust for the covariate *Mayor Ideology*, which can lead to efficiency gains, though its point estimate has no substantive meaning (Calonico et al. 2019). Model 1 is the default bandwidth used in the main text. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

C.4 Placebo Tests

It is possible that parties strategically nominate stronger candidates in municipalities with high FDI potential or that business elites support aligned candidates ex ante. In principle, within the narrow window around the cutoff, anticipation effects like these are less likely to operate systematically. Still, firms may make investment decisions based on expected electoral outcomes, even under competitive electoral circumstances whose outcomes are hard to predict. Correspondingly,

Table C.5: The Effect of Political Alignment on FDI Transactions at $t - 1$

	FDI Transaction Count, $t - 1$	
	(1) All Transactions, All Municipalities, No Covariates	(2) All Transactions, All Municipalities, Covariate-Adjusted
Political Alignment	0.11* (0.05)	0.11** (0.04)
Mayor Ideology (Pt. Estim.)		-0.02
Bandwidth (MSE)	5.43	5.43
Effective Observations (Left)	2394	2399
Effective Observations (Right)	2589	2589

This table presents the results of two regression discontinuity models with robust p-values. All models cluster standard errors by municipality and election cycle. Model 2 adjusts for the covariate *Mayor Ideology*, which can lead to efficiency gains, though its point estimate has no substantive meaning (Calonico et al. 2019). *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

Table C.6: The Effect of Political Alignment on FDI Transactions at $t - 1$: Robustness Checks

	FDI Transaction Count, $t - 1$			
	(1) Goods and Services, All Municipalities, No Covariates	(2) Goods and Services, All Municipalities, Covariate-Adjusted	(3) Greenfield, All Municipalities, No Covariates	(4) Greenfield, All Municipalities, Covariate-Adjusted
Political Alignment	0.06 (0.11)	0.06 (0.13)	0.02 (0.35)	0.02 (0.3)
Mayor Ideology (Pt. Estim.)		0.01		-0.01
Bandwidth (MSE)	3.78	3.78	3.11	3.11
Effective Observations (Left)	1719	1720	1436	1439
Effective Observations (Right)	1863	1863	1549	1550

This table presents the results of four regression discontinuity models with robust p-values. All models cluster standard errors by municipality and election cycle. Models 2 and 4 adjust for the covariate *Mayor Ideology*, which can lead to efficiency gains, though its point estimate has no substantive meaning (Calonico et al. 2019). *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

we implement RDD placebo tests to assess whether contemporaneous political alignment (t) affects lagged FDI ($t - 1$), adapting our original specification to a pre-treatment framework. As Table C.5 shows, there is evidence of anticipatory effects when all FDI transactions are considered, but no such evidence when the analysis is restricted to FDI in goods and services or to greenfield investments (Table C.6). When FDI is measured at $t - 2$, no effects are observed for any category of investment (see Tables C.7 and C.8).

Taken together, these placebo tests suggest that political alignment may influence certain types of FDI in the year *preceding* the election, consistent with forward-looking investor behavior. Importantly, however, this pattern does not hold for FDI in goods and services or greenfield investments, for which our main RDD results are also estimated with greater precision ($p < 0.05$, compared to $p < 0.1$ for all FDI transactions).

The placebo tests have limitations. Because alignment at time t is highly correlated with alignment at $t - 1$ ($r = 0.54$, $p < 0.01$), it cannot isolate anticipation from persistence or contemporaneous effects. As such, we read the placebo results as a conservative diagnostic for potential forward-looking behavior or persistence, not a decisive falsification test.

Table C.7: The Effect of Political Alignment on FDI Transactions at $t - 2$

	FDI Transaction Count, $t - 2$	
	(1) All Transactions, All Municipalities, No Covariates	(2) All Transactions, All Municipalities, Covariate-Adjusted
Political Alignment	0.06 (0.35)	0.05 (0.39)
Mayor Ideology (Pt. Estim.)		0.02
Bandwidth (MSE)	6.35	6.34
Effective Observations (Left)	2518	2515
Effective Observations (Right)	2589	2588

This table presents the results of two regression discontinuity models with robust p-values. All models cluster standard errors by municipality and election cycle. Model 2 adjusts for the covariate *Mayor Ideology*, which can lead to efficiency gains, though its point estimate has no substantive meaning (Calonico et al. 2019). *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

Table C.8: The Effect of Political Alignment on FDI Transactions at $t - 2$: Robustness Checks

	FDI Transaction Count, $t - 2$			
	(1) Goods and Services, All Municipalities, No Covariates	(2) Goods and Services, All Municipalities, Covariate-Adjusted	(3) Greenfield, All Municipalities, No Covariates	(4) Greenfield, All Municipalities, Covariate-Adjusted
Political Alignment	0.05 (0.16)	0.05 (0.23)	0.03 (0.27)	0.03 (0.25)
Mayor Ideology (Pt. Estim.)		0.03		-0.01
Bandwidth (MSE)	3.87	3.87	4.41	4.43
Effective Observations (Left)	1588	1591	1790	1796
Effective Observations (Right)	1684	1685	1860	1867

This table presents the results of four regression discontinuity models with robust p-values. All models cluster standard errors by municipality and election cycle. Models 2 and 4 adjust for the covariate *Mayor Ideology*, which can lead to efficiency gains, though its point estimate has no substantive meaning (Calonico et al. 2019). *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

D Why Alignment Attracts FDI: Robustness Checks

D.1 Logged Transfers and Investment Incentives

Table D.1 replicates the RDD-based mechanism tests reported in the main text, but using the logged value of non-discretionary transfers, discretionary transfers, and investment incentives. Fiscal management and time to register a business are not transformed because they are already on bounded or natural scales where logging is not appropriate. The results are consistent with the main text: political alignment significantly predicts discretionary transfers, but not the other proposed mediators. The magnitude of the discretionary transfers effect is not directly comparable to the main text given the change in functional form, but the sign and significance remain unchanged. These results confirm that the main findings are not sensitive to the choice of functional form for the transfer and incentive variables.

Table D.1: The Effect of Political Alignment on Intergovernmental Transfers, Investment Incentives, and Regulatory Barriers

	Non-Discretionary Transfers (Log)	Discretionary Transfers (Log)	Investment Incentives (Log)	Fiscal Management	Time to Register a Business
	(1)	(2)	(3)	(4)	(5)
	2012–2021	2012–2021	2015–2021	2013–2021	2019–2021
Political Alignment	−0.02 (0.3)	0.22*** (0.01)	−0.02 (0.24)	0.00 (0.99)	−0.81 (0.86)
Mayor Ideology (Pt. Estim.)	0.21	0.01	0.03	0.05	−10.96
Bandwidth (MSE)	17.98	9.56	18.88	12.35	16.05
Effective Observations (Left)	6199	3991	5436	4326	1625
Effective Observations (Right)	6742	4195	5815	4422	1748

This table presents the results of five regression discontinuity models with robust p-values. All models cluster standard errors by municipality and election cycle. All models adjust for the covariate *Mayor Ideology*, which can lead to efficiency gains, though its point estimate has no substantive meaning (Calonico et al. 2019). *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

D.2 Mediation Analysis With Multilevel Models

Table D.2: The Effect of Political Alignment on Intergovernmental Transfers, Investment Incentives, and Regulatory Barriers

	Non-Discretionary Transfers (Log)	Discretionary Transfers (Log)	Investment Incentives (Log)	Fiscal Management	Time to Register a Business
	(1)	(2)	(3)	(4)	(5)
	2012–2021	2012–2021	2015–2021	2013–2021	2019–2021
Political Alignment, t-1	−0.02*** (0.01)	0.18*** (0.04)	−0.01 (0.01)	0.01*** (0.00)	−7.30* (4.14)
Mayor Ideology, t-1	0.02*** (0.00)	0.01 (0.02)	0.03*** (0.01)	0.00** (0.00)	5.40* (2.98)
Mayoral Election, t-1	−0.01 (0.02)	−0.37*** (0.09)	0.00 (0.01)	−0.04*** (0.01)	−10.31*** (1.21)
Mayor Second Term, t-1	0.02*** (0.00)	0.04* (0.02)	0.01 (0.01)	0.02*** (0.00)	−0.90 (1.50)
GDP (Log), t-1	−0.35*** (0.00)	−0.06*** (0.01)	0.12*** (0.00)	0.04*** (0.00)	−6.83*** (0.65)
Population Density (Log), t-1	−0.06*** (0.00)	−0.07*** (0.01)	0.04*** (0.00)	−0.01*** (0.00)	0.61 (0.58)
STEM Workers, % (Log), t-1	0.07*** (0.00)	−0.01 (0.01)	0.10*** (0.00)	0.01*** (0.00)	3.58*** (0.73)
Manufacturing Workers, % (Log), t-1	0.02*** (0.00)	0.04*** (0.01)	−0.01** (0.00)	0.01*** (0.00)	−2.08*** (0.47)
Homicides per 100k (Log), t-1	−0.03*** (0.00)	−0.01* (0.01)	−0.01*** (0.00)	−0.01*** (0.00)	−0.80* (0.46)
Airport	0.00 (0.01)	0.07** (0.03)	−0.06*** (0.01)	−0.00 (0.00)	−4.07** (2.06)
Port	0.31*** (0.01)	−0.09 (0.09)	0.59*** (0.03)	0.02*** (0.01)	15.11*** (5.14)
Intercept	11.03*** (0.11)	3.92*** (0.16)	−1.43*** (0.03)	−0.03 (0.03)	151.38*** (8.82)
AIC	15968.96	209209.16	52823.80	−40837.89	124980.94
Log Likelihood	−7969.48	−104589.58	−26396.90	20433.95	−62475.47
Observations	51693	51692	36971	44925	11332
Number of States	26	26	26	26	26
Number of Years	10	10	7	9	3
Variance: States (Intercept)	0.10	0.29	0.00	0.01	519.66
Variance: Years (Intercept)	0.08	0.05	0.00	0.00	0.00

This table presents the results of five multilevel linear models. All models include random intercepts for state and year. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

In the main text, we rely on the RDD for step two of the Baron and Kenny (1986) mediation approach because it allows us to test the relationship between political alignment and potential

Table D.3: The Effect of Political Alignment, Intergovernmental Transfers, and Fiscal Management on FDI Transactions

	FDI Transaction Count	
	(1)	(2)
Political Alignment, t-1	0.21** (0.08)	0.14 (0.10)
Discretionary Transfers (Log), t-1	-0.02* (0.01)	
Fiscal Management, t-1		-0.33** (0.15)
FDI Transaction Count, t-1	0.00*** (0.00)	0.00*** (0.00)
Mayor Ideology, t-1	0.01 (0.05)	0.10 (0.06)
Mayoral Election, t-1	-0.20 (0.16)	-0.23 (0.15)
Mayor Second Term, t-1	0.07 (0.05)	0.07 (0.05)
GDP (Log), t-1	0.59*** (0.03)	0.56*** (0.03)
Population Density (Log), t-1	0.14*** (0.02)	0.16*** (0.02)
STEM Workers, % (Log), t-1	0.24*** (0.03)	0.28*** (0.04)
Manufacturing Workers, % (Log), t-1	-0.38*** (0.02)	-0.39*** (0.03)
Homicides per 100k (Log), t-1	-0.04 (0.03)	-0.05* (0.03)
Airport	-0.01 (0.05)	0.01 (0.05)
Port	0.18** (0.08)	0.18** (0.08)
Intercept	-8.40*** (0.39)	-7.85*** (0.42)
AIC	27106.85	21094.61
Log Likelihood	-13520.42	-10514.30
Observations	51691	40190
Number of States	26	26
Number of Years	10	8
Variance: States (Intercept)	0.69	0.66
Variance: Years (Intercept)	0.07	0.04

This table presents the results of two multilevel zero-inflated negative binomial models. All models include random intercepts for state and year. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

mediators without additional controls, avoiding concerns about model specification for each mediator outcome. Nevertheless, Table D.2 presents multilevel linear models estimating the effect of political alignment on each proposed mediator, replicating the second step using the full sample. Unlike the RDD-based analysis in the main text, these models include the full set of political, economic, and geographic controls used in the main specification. In addition, these models use logged outcomes for the transfer and incentive variables to handle skewness (unlike the main RDD, which uses levels because the local linear framework makes the coefficient directly interpretable and the narrow bandwidth reduces skewness concerns).

Alignment positively and significantly predicts discretionary transfers and fiscal management, consistent with prior research on the distributive effects of political alignment in Brazil. Alignment does not significantly predict non-discretionary transfers or investment incentives in the expected direction. We proceed to step three of the mediation analysis for discretionary transfers and fiscal management, since these are the only mediators both predicted by alignment

and theoretically relevant to the investment climate. Table D.3 presents the results. *Discretionary Transfers* and *Fiscal Management* have *negative* effects on the FDI transaction count, indicating that these variables are not “transmitting” the positive effect of political alignment to the outcome. Political Alignment’s coefficient is smaller and not statistically significant in Model 2, likely reflecting the reduced and differently-composed sample (Fiscal Management data are available only for 2013–2021) rather than evidence that fiscal management channels the alignment-FDI relationship.

D.3 Mediation Analysis With Alternative Measures of Intergovernmental Transfers

Tables D.4, D.5, and D.6 replace *Discretionary Transfers* with a narrower type of discretionary transfer used by [Brollo and Nannicini \(2012\)](#): capital transfers, mostly related to the infrastructure sector. These models confirm, first, that political alignment is a significant predictor of discretionary transfers, and second, that the positive effect of political alignment on FDI is not mediated by such transfers — not even discretionary *capital* transfers, which have a *negative* effect on the outcomes.

Table D.4: The Effect of Political Alignment on Discretionary Transfers (Focusing on Discretionary Capital Transfers)

	Discretionary Capital Transfers	Discretionary Capital Transfers (Log)
	(1)	(2)
Political Alignment	12.15*** (0.01)	0.24*** (0.01)
Mayor Ideology (Pt. Estim.)	0.47	0.07
Bandwidth (MSE)	16.95	10.66
Effective Observations (Left)	6049	4358
Effective Observations (Right)	6490	4568

This table presents the results of two regression discontinuity models with robust p-values. All models cluster standard errors by municipality and election cycle. Both models adjust for the covariate *Mayor Ideology*, which can lead to efficiency gains, though its point estimate has no substantive meaning ([Calonico et al. 2019](#)).

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

Table D.5: The Effect of Political Alignment on Discretionary Transfers (Focusing on Discretionary Capital Transfers)

	Discretionary Capital Transfers (Log)
	(1)
Political Alignment, t-1	0.23*** (0.04)
Mayor Ideology, t-1	0.02 (0.02)
Mayoral Election, t-1	-0.46*** (0.10)
Mayor Second Term, t-1	0.06** (0.02)
GDP (Log), t-1	-0.04*** (0.01)
Population Density (Log), t-1	-0.05*** (0.01)
STEM Workers, % (Log), t-1	-0.02* (0.01)
Manufacturing Workers, % (Log), t-1	0.06*** (0.01)
Homicides per 100k (Log), t-1	-0.02*** (0.01)
Airport	0.06* (0.03)
Port	-0.48*** (0.09)
Intercept	3.10*** (0.17)
AIC	215191.35
Log Likelihood	-107580.68
Observations	51692
Number of States	26
Number of Years	10
Variance: States (Intercept)	0.29
Variance: Years (Intercept)	0.05

This table presents the results of a multilevel linear model with random intercepts for state and year. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

Table D.6: The Effect of Discretionary Transfers on FDI Transactions (Focusing on Discretionary Capital Transfers)

	FDI Transaction Count		
	(1) All Transactions, All Municip.	(2) Goods and Services, All Municip.	(3) Greenfield, All Municip.
Discretionary Capital Transfers (Log), t-1	-0.04*** (0.01)	-0.04*** (0.01)	-0.04** (0.02)
Political Alignment, t-1	0.23*** (0.08)	0.22** (0.09)	0.22* (0.12)
FDI Transaction Count, t-1	0.00*** (0.00)	0.01*** (0.00)	0.01*** (0.00)
Mayor Ideology, t-1	0.00 (0.05)	0.04 (0.06)	0.10 (0.08)
Mayoral Election, t-1	-0.21 (0.16)	-0.28 (0.19)	0.02 (0.18)
Mayor Second Term, t-1	0.07 (0.05)	0.10* (0.06)	-0.07 (0.08)
GDP (Log), t-1	0.59*** (0.03)	0.57*** (0.03)	0.48*** (0.04)
Population Density (Log), t-1	0.14*** (0.02)	0.09*** (0.02)	0.12*** (0.03)
STEM Workers, % (Log), t-1	0.24*** (0.03)	0.20*** (0.03)	0.13*** (0.04)
Manufacturing Workers, % (Log), t-1	-0.37*** (0.02)	-0.34*** (0.03)	-0.43*** (0.03)
Homicides per 100k (Log), t-1	-0.04 (0.03)	-0.05* (0.03)	-0.02 (0.04)
Airport	-0.02 (0.05)	-0.05 (0.05)	0.13* (0.07)
Port	0.17** (0.08)	0.10 (0.08)	0.20** (0.10)
Intercept	-8.39*** (0.39)	-8.21*** (0.42)	-7.35*** (0.53)
AIC	27099.18	23008.28	15890.42
Log Likelihood	-13516.59	-11471.14	-7912.21
Observations	51691	51691	51691
Number of States	26	26	26
Number of Years	10	10	10
Variance: States (Intercept)	0.69	0.69	0.74
Variance: Years (Intercept)	0.07	0.10	0.10

This table presents the results of three multilevel zero-inflated negative binomial models. All models include random intercepts for state and year. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

E Data Availability Statement and Data Sources

The data and replication scripts employed in this study are available at <http://bit.ly/40cqR0m>

All data sources below were last accessed on October 8, 2024.

Airport. *Agência Nacional de Aviação Civil.*

Discretionary Transfers. Sistema de Informações Contábeis e Fiscais do Setor Público Brasileiro (SICONFI), via *Base dos Dados*. The analysis aggregates all transfers under the category Transferências de Convênios da União e de suas Entidades, including current as well as capital transfers (which begin with 1 or 2, respectively).

FDI Transaction Count. Calculated using investment records, RDE-IED (Registro Declaratório Eletrônico – Investimento Estrangeiro Direto), *Banco Central*, and the nationwide registry of corporations, Quadros Societários CNPJ, via *Base dos Dados*.

Fiscal Management. Índice Firjan de Gestão Fiscal, *Firjan*.

GDP. Instituto Brasileiro de Geografia e Estatística (IBGE), via *Base dos Dados*.

Homicides per 100k. Sistema de Informações sobre Mortalidade (SIM), DATASUS, via *Base dos Dados*. We consider that the cause of death is a homicide when it falls under the following ICD10 categories: X85–Y09, Y87.1, Y35, and Y89.0 (*Cícero et al. 2024*).

Investment Incentives. *Receita Federal*. The analysis aggregates all incentives listed under Anexo I – Portaria RFB nº 319/2023.

Manufacturing Workers. Relação Anual de Informações Sociais (RAIS), via *Base dos Dados*. In the Brazilian classification of sectors, Classificação Nacional de Atividades Econômicas (CNAE), this corresponds to sector C.

Margin of Victory. Calculated using election results, Tribunal Superior Eleitoral, via *Base dos Dados*.

Mayor Party Ideology. *Brazilian Legislative Surveys* (see also *Zucco and Power 2024*).

Mayor Second Term. Calculated using election results, Tribunal Superior Eleitoral, via *Base dos Dados*.

Mayoral Election. This variable takes the value of 1 for all municipalities in 2012, 2016, and 2020, and for all municipalities and years listed under *Eleições Suplementares*, Tribunal Superior Eleitoral.

MP Born in Municipality. Calculated using election results, Tribunal Superior Eleitoral, via *Base dos Dados*.

MP Registered in Municipality. Calculated using information provided by Tribunal Superior Eleitoral following a Freedom of Information request (Lei de Acesso à Informação).

Non-Discretionary Transfers. Fundo de Participação dos Municípios (FPM), *Tesouro Nacional*.

Political Alignment. Calculated using voting patterns and party leadership recommendations, Dados Abertos da Câmara dos Deputados, via *Base dos Dados*; party membership records (Filiação Partidária), Tribunal Superior Eleitoral, via *Base dos Dados*; and election results, Tribunal Superior Eleitoral, via *Base dos Dados*.

Population Density. Calculated using data total population data, Instituto Brasileiro de Geografia e Estatística (IBGE), via *Base dos Dados*, as well as total area data retrieved *directly* from IBGE.

Port. *Receita Federal*.

STEM Workers. Relação Anual de Informações Sociais (RAIS), via **Base dos Dados**. These are jobs with the following codes in the official Brazilian job classification (Classificação Brasileira de Ocupações, CBO): 2345, 203, 214, 1237, 1426, 211, 212, 213, and 221. They are also called “pessoal ocupado técnico-científico (POTec).”

Time to Register a Business. Estatísticas CNPJ, REDESIM, **Receita Federal**. We consider only the first step of registering a business (*Pesquisa Prévia de Viabilidade*), as it is the only step to happen at the municipal level.

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